CHENNAI - MONDAY - MAY 11, 2026
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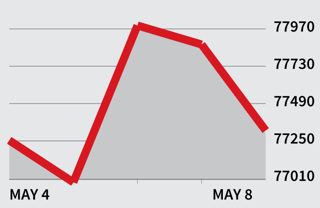

IN FOCUS

	Week's close	Week's change
Nifty 50	24176.15	+178.60
P/E Ratio (Sensex)	20.93	-0.01
US Dollar (in ₹)	94.48	-0.43
Gold Std 10 gm (in ₹)	150473.00	+812
Silver 1 kg (in ₹)	255600.00	+15269

CURRENT ACCOUNT. **We have set a target** to cross the ₹10-lakh crore business by March 2028, says Kalyan Kumar, CEO, Central Bank of India **p9**

CORPORATE FILE. **AI is transforming** Indian IT, forcing firms to reinvent services, pricing, talent and business models **p7**

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MONDAY SPECIALS.

CLEANTECH

CERC sends out feelers for 'capacity markets'

The National Electricity Plan (2026), scripted by the Ministry of Power, brings in several new concepts that reflect modern thinking. One of the concepts introduced is 'capacity markets'. The Central Electricity Regulatory Commission (CERC) has followed up with a 'staff paper' on the subject and put it out for public comments. **p6**

SPARK

Cricketers keeping wickets for founders

With every boundary hit on the IPL, another parallel score ratchets up off the field. Indian cricketers have long been splashed on billboards as brand ambassadors, but they are showing up on start-up cap tables, backing everything from gaming and smart-home tech to medical tourism and sports-tech platforms. The country's biggest cricketing names are building their investor portfolios alongside their sporting career. **p8**

India plans UPI-style common network for EV charging

OPEN ACCESS. Heavy Industries Min meeting on May 12 to focus on interoperability standards

Amit Vijay Mohile
Mumbai

India is attempting to do for electric-vehicle charging what the Unified Payments Interface (UPI) did for digital payments: Create a common network where any EV owner can locate, access and pay at any public charging station regardless of the operator.

That ambition will take centre-stage on May 12, when Union Minister for Heavy Industries HD Kumaraswamy chairs a high-level meeting in Bengaluru with automakers, charging companies, power utilities and State officials to address one of the sector's biggest bottlenecks — an expanding but fragmented charging ecosystem.

UNIFIED PLATFORM

The meeting is expected to focus on interoperability standards, common payment systems, charger discoverability, grid readiness and faster implementation of public charging infrastructure under the Centre's PM E-DRIVE scheme. Discussions will also cover the rollout of a unified digital platform being developed by Bharat Heavy Electricals Ltd (BHEL) that will allow users to locate, book and pay for charging stations across operators through a single interface, similar to UPI.

POWER POINTS. The government is attempting to address charging gaps through the ₹10,900-crore PM E-DRIVE, which earmarks ₹2,000 crore for charging and battery-swapping infra

The urgency stems from a structural imbalance in India's charging network. According to data tabled in Parliament, the country had 27,737 public EV charging stations installed as of March 2026, with Karnataka, Maharashtra, Delhi and Uttar Pradesh in the lead.

However, 70-75 per cent of public charging points are slow AC and low-power DC chargers aimed at electric two- and three-wheelers, which account for most EV sales in India. Fast chargers for passenger cars remain relatively limited and concentrated in urban centres and highways, mostly set up by private operators and automakers. High-capacity charging infrastructure for buses and trucks is still at a nascent stage.

STANDARDISATION PUSH

Fragmentation in charging standards remains another challenge. Passenger vehicles have largely converged around the CCS2 standard, but electric scooters and three-wheelers continue to rely on proprietary systems that often lock users into brand-specific networks. The proposed Light Electric Combined Charging System (LECCS), or Type-7 connector, is intended to create a common standard for light electric vehicles.

Kausalya Nandakumar, Chief Business Officer, Emerging Mobility Business Unit at Hero MotoCorp, said the industry welcomes the government's push to expand EV charging infrastructure.

The government is attempting to address these gaps through the ₹10,900-crore PM E-DRIVE scheme, which has earmarked ₹2,000 crore for charging and battery-swapping infrastructure. The scheme targets 72,300 charging points nationwide, including chargers for two- and three-wheelers, passenger vehicles and buses. Yet, implementation remains slow. As of March 23, 2026, no expenditure had been recorded under the charging component, despite thousands of chargers reportedly being sanctioned or in the pipeline.

Officials say the Bengaluru meeting is aimed at shifting the programme from allocation to execution and creating a nationwide charging ecosystem that is interoperable, reliable and accessible across vehicle categories.

I-T Dept 'mulls profiling districts for better revenue & improve compliance'

Shishir Sinha
New Delhi

To improve direct tax collection, the Income Tax Department is likely to profile districts for net positive or negative revenues and strengthen compliance. It also plans to further tighten the crypto net by reporting new specified financial transactions (SFT).

These are part of the Central Action Plan for the current fiscal, details of which were shared by senior officials with *businessline*. These measures are critical, as direct tax collection in FY26 fell short by ₹81,000 crore. As a result, the required growth rate for FY27 collection of ₹26.97-lakh crore has jumped to 15.25 per cent as against the Budget projection of 11.4 per cent.

One such suggestion is the "Profiling of districts or suitable areas for net positive or negative revenues and improved compliance. In cases of negative revenue, the reasons would be identified and suitable action taken," one of the officials said. This will require action by field formations with support from the Directorate of Tax Research and Analysis. As of date, State-wise collection data show Maharashtra on top, followed by Karnataka and Delhi.

FOCUS AREAS

Accordingto to the official, another suggestion is about analysing various industrial sectors, with a focus on five areas. First, to address the negative trends in tax payments.

Second, to examine the trend in specific sectors for taking suitable actions.

Third, to find the reasons for the negative trends of tax payments or the growth of advance tax in such sectors.

Fourth, close monitoring of top advance tax taxpayers and encouraging them to reassess their advance tax liabilities to avoid self-assessment tax.

And, fifth, identifying claims of incorrect exemptions and deductions.

Another official said a major focus area under the annual plan would be the collection of demands confirmed by the Income Tax Commissioner (Appeals). "During FY26, based on total appeals disposed of, the total demand confirmed was ₹2.57-lakh crore.

Now, the effort will be to collect these demands, except where a stay has been granted by a court, etc.," he said.

It is also planned to double the number of top PAN-wise demands to 10,000 to monitor and take action. The focus will remain on prompt issuance of refunds to avoid interest payments, enhancing awareness of rightful claims for deductions and exemptions and educating taxpayers on filing updated returns. On the new initiative, the first official, quoted above, said that the effort would be to further tighten grips on crypto/VDA (virtual digital assets) transactions.

"At least three special pilot projects are being planned to explore the possibility of onboarding new reporting entities or new reportable transactions through new SFT (specified financial transactions) or expanding the scope of reporting through existing SFT and expanding the scope of reporting of Crypto/VDAs," he said.

SEASONAL MARCH

NOMAD TRAIL. A Kashmiri Bakarwal nomad herds livestock along a Srinagar road. The Bakarwals are traditional nomadic pastoralists of Jammu and Kashmir who migrate seasonally in search of grazing pastures for their animals PTI

Noel Tata voted to keep Vijay Singh, Venu Srinivasan out of Tata Education Trust

Our Bureau
Mumbai

Tata Trusts Chairman Noel Tata is understood to have also voted against the reappointment of Venu Srinivasan and Vijay Singh to the board of Tata Education and Development Trust last week, sources said.

Terms of Srinivasan and Singh as trustees of TEDT were due for renewal on Sunday. According to the voting pattern, former trustee Mehli Mistry, JN Mistry and Tata voted against their reappointment, while Singh and Srinivasan voted in favour of each other. Sources said Noel Tata's vote against Srinivasan and Singh reflected his displeasure over their support for listing Tata Sons.

Read more on p10

5G use-cases stuck in labs as monetisation eludes telcos

Vallari Sanzgiri
Mumbai

Four years after the "fastest rollout" of 5G in India, the government's efforts to develop large-scale use-cases have largely remained confined to testing labs, while telecom service providers (TSPs) are exploring their own ways to monetise the expensive spectrum through offerings such as fixed wireless access (FWA) and 5G slicing.

Ahead of the 2022 rollout, the Department of Telecommunications (DoT) held discussions with 14 ministries to identify 5G use-cases across sectors such as logistics, education, mining, automobiles and robotics.

USAGE GAP

While the consultations initially gathered momentum, industry sources said they eventually resulted only in the setting up of testing labs at educational institutions. According to Rakesh Bhatnagar, a former Advisor to DoT and current Director- General of VoICE, the initiative lost steam because the proposed applications offered limited monetisation opportunities and telcos had restricted spectrum resources.

PROFIT HUNT. Telcos invested ₹1.61 lakh crore in 5G spectrum and are now chasing monetisation through fixed wireless access and network slicing

Telecom operators acquired 51,236 MHz of 5G spectrum in 2022 and another 141.4 MHz in 2024, for about ₹1.61-lakh crore. Reliance Jio and Bharti Airtel are now looking at monetising the network through FWA and network slicing, similar to models seen in markets such as the US and China.

RJio plans to use 5G slicing for specialised enterprise services and gaming. "That is something that our network is ready for, but of course, we have to see if the market, the regulations, are also ready for those," said Anshuman Thakur, Senior Vice-President at Jio Platforms.

However, telecom expert Parag Kar argued that India's spectrum holdings are inadequate for effective slicing services. "US' [5G] success comes from [spectrum] capacity. India lacks headroom by design. 5G slicing for consumers will congest basic internet," Kar said in a video, citing spectrum scarcity, high data usage, low average revenue per user (ARPU), and dependence on mobile networks.

GROWTH QUEST

Telcos have acknowledged the monetisation challenge. Last year, Bharti Airtel Vice-Chairman Gopal Vittal said: "One of the pain points in the telecom world across the globe is that 5G has not lived up to its promise... it has not led to any monetisation."

Bhatnagar said allocating spectrum for private 5G networks could open a new market. "A market size of ₹10,000 crore is likely immediately," he said. For now, though, 5G offerings remain largely limited to faster speeds and lower latency, leaving telcos searching for differentiated services.

Suit, selfies and swagger: Vijay's next-gen oath ceremony

The actor-turned-politician makes a cinematic entry into chief ministership

Rohan Das
Chennai

C Joseph Vijay's cinematic persona was on full display on Sunday as the actor-turned-politician was sworn in the 13th Chief Minister of Tamil Nadu.

Sporting a look from one of his on-screen characters, the CM-designate and president of the Tamilaga Vettri Kazhagam (TVK) arrived for the oath-taking ceremony clad in a black suit, a radical shift from the regulation white shirt and dhoti worn by most politicians.

Unlike the conventional reading of a formal oath, Vijay, after the Governor's cue, launched into a fiery address, with no teleprompters, to a cutting as he was smitten by every word of his.

And, it was no solemn occasion; rather as soon as he took his oath, the hall reverberated to whistles and hoots — a phenomenon that has become synonymous with the actor's presence.

POLITICAL BLOCKBUSTER. C Joseph Vijay, Tamil Nadu CM, delivers a speech at the swearing-in ceremony BIJOY GHOSH

The ministers who took the oath of office with the CM were all first-timers and also included a woman.

'FRIEND, BROTHER, SON'

In a novel move, CM Vijay also came back to the stage for a speech after sending off the Governor. Speaking directly to the people who voted for him, he called himself an ordinary man who is a friend, a brother and a son to the people of Tamil Nadu. Thanking his alliance partners, TVK functionaries and the people of Tamil Nadu for this mandate, Vijay said it's the beginning of a new era of secularism and social justice in the State. He also acknowledged the involvement of 'virtual warriors' of TVK in the elections, and thanked their social media efforts for the victory.

In an ode to his young supporters, the new Chief Minister also whipped out his phone to take a selfie with the crowd, drawing another round of thunderous applause as many flocked towards the stage, overstepping the crowd control arrangements, to be pictured with the superstar.

Joined by Congress MP and leader of the opposition Rahul Gandhi on stage, the ceremony concluded with the duo raising their hands in a show of strength.

While it remains to be seen what Vijay and TVK have planned for Tamil Nadu, the *Jana Nayagan* star has started off his political career in as cinematic a fashion as ever seen before.

Also read p2

From fizzy sodas to healthy shakes and smoothies, brands on zero-sugar rush

Meenakshi Verma Ambwani
Chitra Narayanan
New Delhi

The fizz in the beverages segment is 'Go Zero'. Grocery shelves and quick commerce listings are suddenly crammed with milk shakes, aerated beverages, tonic water, coffee drinks and protein smoothies that are zero or low-sugar, with many being zero-calorie too.

From big brands to start-ups, everyone is getting into this space, spurred by rising consumer demand, especially from the young set, for "healthier" drinks.

LAUNCH RUSH

The last few months have seen a spate of new launches. Music icon Karan Aujla, who has rapped out a new zero-sugar, zero-calorie beverage brand called Zyro, in partnership with VRB Consumer Products. Available in bottles and cans, the fizzy drinks in Indi-pop flavours are being heavily promoted across social media.

From big players to start-ups, brands are rushing into healthier drinks amid rising youth demand

Hyderabad-based Beannery Foods' brand Zumi, which is promoting clean-label, guilt-free dairy with a range of lactose-free, no-refined sugar milkshakes. Archian Foods, known for its runaway hit product Lahori Zeera, is gearing up to launch its no-sugar variant. Saurabh Munjal, Co-Founder and CEO, Archian Foods, told *businessline*, "We have finally cracked the formulation for sugar-free variant with stevia for 'Lahori Zeera', and we are excited to soon launch this variant in the market."

PORTFOLIO SHIFT

Simultaneously, both PepsiCo and Coca-Cola have been expanding their no-sugar and low-sugar offerings. Sources said that the zero-sugar portfolio (this includes Thums Up X Force, Sprite Zero, Diet Coke and Coca-Cola Zero Sugar) now contributes in double-digit to Coca-Cola India sales. PepsiCo, too, has been witnessing an upswing in sales of its healthier beverage offerings in India.

The company's leading bottler, Varun Beverages, said that "the mix of low-sugar and no-sugar products increased to the level of about 63 per cent of consolidated sales volume" during the March quarter. Tetra Pak, which helps companies with formulations as well, is seeing its order book booming. Says Saurabh Sinha, Marketing Director, Tetra Pak South Asia, "Low and reduced sugar is no longer a niche — it's fast becoming the new baseline. We're seeing this play out across categories, from juices and electrolyte drinks to protein beverages and even traditional categories like lassi.

Sinha says that to help brands move faster, Tetra Pak has built a plug-and-play low-sugar toolkit that combines consumer insights, packaging innovation and ready-to-deploy formulation options — from juice blends to optimised sweetener systems and compliant sugar claims.

On a recent investor call, Mohit Malhotra, Global CEO, Dabur India, said that the company's Real Activ portfolio, which has no added sugar, is growing at 26 per cent and the company is scaling it up.

QUICKLY.

DMK elects Udhayanidhi as legislature party leader

Chennai: The DMK has elected former Deputy Chief Minister Udhayanidhi Stalin as its legislature party leader. Party sources said on Sunday that former DMK minister and senior leader KN Nehru has been chosen as the deputy legislature party leader. In addition, former DMK minister EV Velu has been elected as the party whip. The DMK has 59 MLAs and will function as the principal opposition in the House. PTI

CMS bags ₹400-cr HDFC ATM outsourcing mandate

Mumbai: CMS Info Systems on Sunday announced that it has been awarded an integrated five-year ATM managed services outsourcing mandate by HDFC Bank, valued at ₹400 crore across 6,000 ATMs, CMS said in a statement. OUR BUREAU

Joseph Vijay sworn in TN CM, promises 'real social justice'

NEW MINISTRY. Nine MLAs too sworn in as members of Cabinet by the Governor

T E Raja Simhan
Chennai

FRESH TEAM. Rajendra Vishwanath Arlekar, Governor, swearing in C Joseph Vijay as CM, in Chennai on Sunday BIJOY GHOSH

Actor-turned-politician C Joseph Vijay, President of the two-year-old Tamilaga Vettri Kazhagam, on Sunday took oath as the Chief Minister of Tamil Nadu, promising a government rooted in social justice, transparency, women's safety and a drug-free society.

Governor Rajendra Vishwanath Arlekar administered the oath of office and secrecy to Vijay at the Jawaharlal Nehru Indoor Stadium in Chennai on Sunday morning. Along with Vijay, nine ministers — N Anand, Aadhav Arjuna, KASengottaiyan, KGArunraj, PVenkataramanan, RNirmal Kumar, Raj Mohan, TKPrabhu and SKeerthana — were also sworn in as members of the Cabinet.

CM Vijay and his Council of Ministers took the oath in the name of God in a ceremony that lasted less than 90 minutes. The programme both began and concluded with the singing of the *Vande Mataram*, followed by the National Anthem and the *Tamizh Thaai Vazhthu*, in line with a recent Union Ministry of Home Affairs order mandating that the song be played at government/ public functions.

STATE FINANCES

Vijay also delivered a brief, cinematic speech after the Governor left the event. "I am one among you. I was born to a poor Assistant Director, and you the people made me the Chief Minister," he said.

Highlighting the State's financial situation, Vijay said the new government was taking charge amid a debt burden of nearly ₹10 lakh crore and announced that a white paper on State finances would be released. "I will not spend public money," he said, while appealing to people to give his government time to fulfil electoral promises.

Ending his address, Vijay declared: "It's a new beginning. A new era of real, secular, social justice starts now." He also thanked Gen Z supporters and children who affectionately call him "Vijay *mama*".

Prime Minister Narendra Modi congratulated Vijay on taking oath as Tamil Nadu Chief Minister. "Best wishes for his tenure ahead. The Central Government will keep working with the Tamil Nadu Government to improve the lives of people," he said. Congress leader Rahul Gandhi flew to Chennai for the ceremony and was seated right beside the new CM.

Responding to CM Vijay's remarks on the State's finances, former CM MK Stalin said in a post on X that the State's debt remained within permissible limits, and said Vijay was attempting to divert attention after making extensive poll promises.

TVK govt's first orders focus on free power, women's safety, anti-drug drive

Our Bureau
Chennai

ACTION MODE. Chief Minister Joseph Vijay, with police and officials, reviewing the law and order situation

C Joseph Vijay, who assumed office as Chief Minister of Tamil Nadu on Sunday, immediately signed three key orders fulfilling major poll promises of his Tamilaga Vettri Kazhagam (TVK), relating to free electricity, women's safety and anti-drug enforcement.

The first order provides 200 units of free electricity every two months to domestic consumers, whose overall bi-monthly power consumption is below 500 units. The State government said the move would ease the burden on ordinary households amid rising living costs and inflation. According to the Government Order, the enhanced subsidy scheme would cost the State an additional ₹1,730 crore, annually. Consumers using more than 500 units bi-monthly would continue under the existing tariff structure, including the 100 units of free power.

DRUG MENACE

Vijay cleared the formation of the '*Singa Penn Adiradi Padai*' (Lioness Special Task Force), a dedicated women's protection force.

He also ordered the creation of 65 Anti-Narcotic Task Forces across the State — one each in the 37 district police units and additional units in the metropolitan police districts.

Vijay later chaired a meeting at the Secretariat with senior police officials to review law and order, women's safety and measures to curb drug-related crimes.

PRO-TEM SPEAKER

Governor Rajendra Arlekar, on Sunday, administered the oath of office to MV Karuppaiah as the Pro-Tem Speaker of the 17th Tamil Nadu Assembly. Karuppaiah will, in turn, administer the oath to newly elected members of the State Assembly on Monday at 9.30 am at the first Assembly session of the TVK government.

The new government also carried out its first bureaucratic reshuffle. P Senthil Kumar, Additional Chief Secretary, Health and Family Welfare Department, was appointed Additional Chief Secretary/Secretary-I to the Chief Minister while G Laxmi Priya, Secretary, Adi Dravidar and Tribal Welfare Department, was posted as Secretary-II to the Chief Minister.

Vijay also resigned his Tiruchirapalli (East) Assembly seat, while retaining the Perambur seat.

No PAN issued to FPIs for a month, hitting onboarding of investors

Akshata Gorde
Mumbai

A number of Foreign portfolio investors (FPIs) have not received their Permanent Account Numbers (PAN) for nearly a month following changes to the PAN application process under the common application form (CAF), posing a hurdle in onboarding fresh foreign investors into the domestic markets.

Without a PAN, FPIs cannot open trading or demat accounts, effectively preventing them from investing in Indian securities

Without a PAN, FPIs cannot open trading or demat accounts, effectively preventing them from investing in Indian securities. At least 20 newly registered FPIs are currently awaiting PAN allotment despite having completed registration formalities, people familiar with the matter said. "Normally, once the application is initiated through the custodian or designated depository participant, PAN is issued within two-three days. But for the past month, no PANs have been issued," a source said.

CAF FRAMEWORK

The issue has emerged after changes were made to the PAN forms integrated within the CAF framework. The CAF serves as a single-window system for FPI registration, PAN allotment, KYC and account opening. The disruption is linked to changes introduced by the Income Tax Department through new PAN application forms and related system validations.

A similar hold up is being faced by FDIs at the Reserve Bank of India (RBI), another source said. Market participants said some applications are getting held up due to field-level validation issues, such as mismatches in character limits, formatting requirements and other data-entry checks in the revised forms.

Some FPIs are also facing challenges in appointing 'authorised representatives' (ARs) required under the updated framework.

They are finding it difficult to identify suitable domestic individuals willing to take on the role due to concerns around potential tax liability exposure. The matter has been taken up with the Securities and Exchange Board of India (SEBI), which is understood to be in discussions with the government and stakeholders.

Sources said the regulator has proposed allowing FPIs to appoint 'authorised signatories' instead of authorised representatives to ease the process. Discussions with the Central Board of Direct Taxes (CBDT) are ongoing.

NEW ENTRY

"FPIs are finding it challenging to find appropriate domestic persons to complete the new AR entry in the CAF form," said an FPI market participant, adding that they are waiting on an update on SEBI's discussions with CBDT.

An email sent to the regulator did not elicit a response.

Rainfall deficit sparks water crisis fears across J&K

Press Trust of India
Srinagar

Jammu and Kashmir is staring at a massive water crisis as the seasonal rainfall deficit in the Union Territory stands at 26 per cent since March 1 this year.

According to the India Meteorological Department (IMD) data, only five of the 20 districts in Jammu and Kashmir received normal rainfall (81 per cent to 119 per cent of average seasonal precipitation). Shopian district in the Valley and Kathua in Jammu are facing massive rainfall deficit with the south Kashmir district receiving precipitation 71 per cent less than normal in March 1-6.

Kathua is facing 63 per cent deficit, Kulgam 53 per cent, Anantnag 46 per cent, Budgam 40 per cent, Kishtwar 36 per cent, Udhampur 34 per cent, Doda 31 per cent, Pulwama (30 per cent, Bandipora 29 per cent, Ramban 26 per cent and Srinagar 22 per cent.

PM Modi highlights BJP poll gains, governance focus at Bengaluru event

Our Bureau
Bengaluru

Prime Minister Narendra Modi on Sunday used the BJP's recent electoral wins, including the party forming the government in West Bengal, to sharpen his attack on the Congress, accusing it of being consumed by internal power struggles and surviving as a "parasite party" dependent on allies.

Modi was in the city to inaugurate the 45th anniversary celebration of the Art of Living. The PM was felicitated by BJP State President BY Vijayendra and other leaders in the city, prior to the event. In his address, Modi said voters across States are increasingly choosing "stability, speed and solutions, not scams," even as the world faces growing uncertainty due to conflicts in West Asia.

He also pointed out to the internal conflict within Congress, and the tiff between CM Siddaramaiah and the Deputy Chief Minister DK Shivakumar on power sharing.

He said the BJP-led NDA government remains committed to improving both living standards and the ease of doing business in Karnataka.

SECURITY ALERT

Ahead of the PM's visit, police recovered suspicious bags containing gelatin sticks on the outskirts of Bengaluru along a route where the Prime Minister's convoy was scheduled to pass.

Security agencies have launched an investigation, and details are awaited.

RBI, ECB sign new MoU to boost cooperation

Our Bureau
Mumbai

The Reserve Bank of India (RBI) and the European Central Bank (ECB) on Sunday signed a new memorandum of understanding (MoU) aimed at strengthening cooperation in central banking.

The MoU was signed by RBI Governor Sanjay Malhotra, and ECB President Christine Lagarde on the margins of the Bank for International Settlements meetings in Basel, per an RBI statement.

The updated MoU, which replaces an earlier agreement signed in 2015, provides a framework for regular exchange of information, policy dialogue and technical collaboration between the two institutions in areas of mutual interest in the field of central banking said the statement.

Save fuel, cut gold buy to conserve forex: Prime Minister

G Naga Sridhar
Hyderabad

Prime Minister Narendra Modi on Sunday urged people to reduce the use of petrol and diesel and refrain from buying gold for a year to help conserve foreign exchange.

Addressing a public rally here, Modi said people should make greater use of metro services and electric vehicles to cut fuel consumption. "Petrol and diesel have become very expensive globally, and we need to save foreign exchange by reducing fuel consumption," he said.

He also appealed to the people to avoid buying gold for social functions. "There was a time when people donated gold for the country. Now, people should take an oath not to buy gold for any functions," he said.

Referring to rising import costs, Modi said India was once able to afford copper imports, but the metal has now become expensive and is putting pressure on foreign exchange reserves.

Prime Minister Narendra Modi during a public meeting in Hyderabad, Telangana

He added that consumption of edible oils should also be reduced and farmers must cut dependence on imported chemical fertilisers.

Stating that the country was passing through difficult times, the Prime Minister said the middle class should curb expenditure, strengthen savings, and avoid foreign travel.

Recalling measures adopted during the Covid-19 pandemic, Modi said practices such as work-from-home, use of public transport, and online conferences should be encouraged.

BASIC INFRA

Earlier, after inaugurating and laying the foundation for various development projects involving a total investment of ₹9,377 crore, he said the development of States was also vital for the progress of the country, even as different parties could be ruling in different States in a democracy. The Centre was contributing to Telangana in the same manner as it was helping the development of Gujarat, he said.

Projects like Zaheerabad Industrial area, for which foundation stone was laid today, would result in creation of jobs for Telangana youth, he said. Referring to the development of railways in the State, Modi said while the railway budget was ₹1,000 crore for the undivided Andhra Pradesh earlier, Telangana alone was allocated ₹5,500 crore, the Prime Minister said.

ENERGY SECURITY

The Centre was focusing on energy security and ensuring that the West Asia crisis did not have an adverse impact on the country, Modi added.

Telangana Chief Minister A Revanth Reddy said the Telangana Rising initiative of the State government will go hand in hand with the Viksit Bharat vision of the government.

He requested the Centre's support to Telangana's development.

The Prime Minister met Andhra Pradesh Chief Minister N Chandrababu Naidu and Deputy Chief Minister K Pawan Kalyan at their residences here.

Piruz Khambatta's *Ashoi*: How 60,000 Parsis built $400 billion in enterprise value

'Most enduring institutions are those that combine wealth creation with social purpose'

Amit Vijay Mohile
Mumbai

Piruz Khambatta, Chairman and CEO of Ahmedabad-based Rasna, the ₹2,000-crore soft drink concentrate maker, says he has spent four decades building his business around *Ashoi*, the Zoroastrian principle of righteousness, purity and integrity in thought, word and deed. In an era dominated by start-up valuations and quarterly targets, Khambatta offers a different model: one in which integrity is not a constraint on ambition but one of its strongest accelerants. Tata, Godrej, Wadia, Shapoorji Pallonji, the Poonawallas and Rasna have helped build companies and institutions collectively estimated to be worth nearly $400 billion.

Piruz Khambatta, Chairman and CEO of Rasna

"The most enduring institutions are often those that combine wealth creation with social purpose," Khambatta says In his new book, *Ashoi: The Zoroastrian Art of Success and Immortality*.

He argues that the same principles that shaped some of India's most trusted business houses can help millions of Indians build enduring wealth and self-sustaining enterprises.

The premise rests on one of the most striking anomalies in Indian business history. The Parsis account for just 0.004 per cent of India's population, roughly one in every 24,000 Indians.

At the launch of the book in the Crystal Room of Mumbai's Taj Mahal Palace on May 9, Union Minister for Parliamentary Affairs and Minority Affairs Kiren Rijiju described the Parsi way of doing business as "an enigma" and said the book could offer millions of Indians a guide to balancing economic success with sustainability. Speaking to *businessline*, Khambatta framed the book around a single question: "What are you building that will still matter when you are gone?"

OPERATING SYSTEM

Khambatta describes *Ashoi* not as a religious text but as an operating system. At its core lies the Zoroastrian triad *Humata, Hukhta, Hvarshta* (Good Thoughts, Good Words and Good Deeds).

In practical terms, it asks three questions before any decision: Is my intention honest? Am I speaking truthfully? Will my action help rather than harm? Applied consistently over decades, Khambatta argues, these principles create something more durable than capital: reputation.

Private capex surged 67% to ₹7.7-lakh cr in first half of FY26

RISING INVESTMENTS. Manufacturing leads the way accounting for ₹3.8-lakh crore: CII

Our Bureau
New Delhi

Capital expenditure by the private sector surged 67 per cent in the first half of FY26, the Confederation of Indian Industries (CII) said on Sunday. It also proposed a five-point action plan to boost private sector performance and accountability for the duration of the West Asia crisis and beyond.

Based on an analysis of 1,200 companies, the CII said that private sector investments, measured as the annual change in net fixed assets and capital work in progress, rose to ₹7.7-lakh crore in September 2025, a 67 per cent jump over ₹4.6-lakh crore a year earlier. Manufacturing led the way, accounting for ₹3.8-lakh crore or nearly half of total private capex, with metals, automobiles and chemicals at the forefront. Services contributed ₹3.1-lakh crore, or about 40 per cent, driven by trading, communications and IT/ITeS.

Calling this the most important signal yet that India's investment cycle has decisively turned, Chandrajit Banerjee, Director-General of CII, said: "With capacity utilisation hardening to 75.6 per cent, order books expanding at over 10 per cent year-on-year and bank credit growth close to 14 per cent in the second half of FY26, private enterprise is committing capital at scale, and across sectors, in a manner not seen in well over a decade."

5-POINT ACTION PLAN

- Phased drawdown of fuel excise cut
- Voluntary industry energy conservation
- 45-day MSME payment guarantee
- Supply-chain ring-fencing and deeper import substitution
- Front-loading of private capex, voluntary price restraint and internship push

KEY SUGGESTIONS

The industry body appealed to its fraternity to step forward and shoulder its share of the national burden during the ongoing period of global stress. Accordingly, it put forth a five-point action plan. The first one prescribes phased drawdown of the fuel excise cut. "The ₹10 per litre central excise cut on petrol and diesel, taken at significant cost to the exchequer, should be progressively rolled back in tranches over six-nine months as crude prices stabilise," it said.

The second is about voluntary industry energy conservation compact. "Member companies may like to commit to a 3-5 per cent reduction in fuel and power consumption over the next two quarters through process optimisation, efficient logistics, fleet electrification and accelerated renewable power purchase agreements," it said.

The third suggests 45-day MSME payment guarantee. "Larger member corporates could commit to a voluntary 45-day MSME payment guarantee, backed by aggressive use of the TReDS platform and supply-chain finance, to ease working capital pressure on small enterprises during this volatile period," it said.

The fourth relates to supply-chain ring-fencing and deeper import substitution. "Indian supply chains will be ring-fenced through diversified sourcing, strategic inventory buffers and tie-ups with alternative geographies, alongside deeper domestic value addition in components, specialty chemicals and capital goods," CII said.

And the fifth suggests front-loaded private capex, voluntary price restraint and internship push.

According to Banerjee, these five suggestions could add up to industry's concrete partnership offer to the government in recent memory. "While India remains better insulated from external shocks than ever before, spillover effects from the West Asia crisis continue to pose near-term downside risks," he said.

TODAY'S PICK.

L&T Finance (₹303.25): BUY

Gurumurthy K
bl. research bureau

The short-term outlook is bullish for L&T Finance. The stock has surged over 8 per cent last week.

The rise and close above ₹298 last week confirm a bullish inverted head and shoulder pattern on the chart.

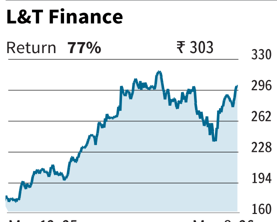
The neckline level of ₹298 will now act as a good support and limit the downside.

Moving Average crossovers on the daily chart also strengthen the bullish case. L&T Finance share price can rise to ₹315-₹320 in the short term. Traders can buy L&T Finance shares now at ₹303.

Accumulate on dips at ₹299. Keep the stop-loss at ₹292 initially. Trail the stop-loss up to ₹306 as soon as the stock goes up to ₹310. Revise the stop-loss higher to ₹311 and ₹315 when the price touches ₹314 and ₹318, respectively.

Exit the long positions at ₹320.

L&T Finance



Note: The recommendations are based on technical analysis. There is a risk of loss in trading.

India to resume tourist visas, trade talks with Bangladesh

Amiti Sen
New Delhi

In a clear signal of mending bilateral ties, New Delhi is set to resume tourist visa services for Bangladeshi nationals as early as the end of this month or in June, sources said.

"India continues to issue medical visas to Bangladeshis, roughly about 1,000 per day. Now, efforts are on to restart issuance of tourist visas too which is likely to happen by the end of May or early next month," a source tracking the matter told *businessline*.

The visit of Bangladesh Foreign Minister Khalilur Rahman to New Delhi in April served as an "ice-breaker" for the two governments, the source said. It marked the first high-level engagement since Dhaka's political transition, paving the way for restored consular services and connectivity.

Talks are on between the two sides to also re-start technical-level meetings in various areas such as trade, customs, water sharing, border management and consular affairs where all pending matters and pain points will be addressed, the source added. Bilateral ties had soured during the 18-month interim tenure of the Muhammad Yunus administration due to friction over India hosting deposed Prime Minister Sheikh Hasina and rhetoric from Dhaka regarding India's North-East that New Delhi viewed as a challenge to its sovereignty.

However, the situation has "stabilised" following the swearing-in of Tarique Rahman of the Bangladesh Nationalist Party (BNP) as Prime Minister in February.

This replaced the interim setup with a democratically elected government and initiated a more pragmatic, trade-focused engagement with India, the source added.

Discussions on restoring normal visa operations gathered pace following a series of recent diplomatic engagements, including meetings between senior officials on trade, security cooperation and transit arrangements.

TOURIST VISAS

Dhaka resumed issuance of tourist visas to Indian citizens in late February, weeks after the new government took office. It had paused visa issuance in December 2025 as the country prepared for general elections amid diplomatic friction and security concerns. India had sharply scaled back visa issuance following the 2024 political upheaval, when widespread unrest and security threats to its missions disrupted normal engagement.

CCI orders probe against Pernod Ricard, 7 others

Press Trust of India
New Delhi

The Competition Commission has ordered a detailed probe against French spirits major Pernod Ricard and seven other entities for alleged cartelisation in the Indian-made foreign liquor market.

The seven entities that have come under the watchdog's lens are Indo Spirits, Pathway HR Solutions, Universal Distributors, Khao Gali, Bubbly Beverages, Shiv Associates and Organomix Ecosystems. Ordering the investigation, the regulator said it is of prima-facie view that Pernod Ricard's restrictive conduct with its retailers/wholesalers, purportedly, to induce brand pushing and achieve higher market share in IMFL market in Delhi, falls within the purview of 'exclusive dealing agreement' under the Competition Act.

Such conduct violates the Act, according to a 26-page order, dated May 5, by the Competition Commission of India (CCI).

The complaint was filed before the CCI in 2024.

SEBI proposes tighter framework for return of open-market buybacks

Our Bureau
Mumbai

The Securities and Exchange Board of India (SEBI) has proposed a fresh set of safeguards and procedural changes for reintroducing open-market share buybacks through stock exchanges, including mandatory electronic intimation to shareholders, tighter timelines for completion and freezing promoter holdings during the buyback period.

The regulator has proposed that open market buybacks undertaken through stock exchanges should be completed within 66 working days from the date of opening of the offer. It has also proposed retaining the existing requirement that at least 40 per cent of the buyback size be utilised within the first half of the offer period.

The proposals follow recommendations made by the Primary Market Advisory Committee (PMAC) and internal deliberations by the regulator. SEBI had floated a consultation paper in April proposing the reintroduction of open market buybacks through stock exchanges as an additional route under the buyback regulations.

While the PMAC had suggested allowing buybacks to remain open for up to six months and increasing the utilisation threshold to 50 per cent, SEBI said such a long duration could make buybacks less relevant amid changing market conditions and cumbersome for shareholders to track. Further, the ongoing changes under the Finance Act, 2026 relating to the permissible gap between two buyback offers as a reason for adopting a "balanced approach".

In another key proposal aimed at easing compliance costs, SEBI has suggested making the appointment of a merchant banker optional for buybacks. Responsibilities currently handled by merchant bankers, including filing of offer documents and regulatory compliance-related activities, may instead be reassigned to companies, stock exchanges and secretarial auditors.

Additionally, SEBI has proposed mandating companies to electronically intimate shareholders regarding buyback offers within one working day of the public announcement. The regulator has invited public comments on the proposals till May 29.

SL No	Particulars	Standalone Quarter Ended 31.03.2026 (Audited)	Standalone Quarter Ended 31.12.2025 (Unaudited)	Standalone Quarter Ended 31.03.2025 (Audited)	Standalone Year Ended 31.03.2026 (Audited)	Standalone Year Ended 31.03.2025 (Audited)	Consolidated Quarter Ended 31.03.2026 (Audited)	Consolidated Quarter Ended 31.12.2025 (Unaudited)	Consolidated Quarter Ended 31.03.2025 (Audited)	Consolidated Year Ended 31.03.2026 (Audited)	Consolidated Year Ended 31.03.2025 (Audited)
1	Total Income from Operations (Net)	1,292.81	1,067.00	881.34	4,905.70	2,546.13	1,390.09	1,177.32	1,157.93	5,365.09	2976.13
2	Profit(+)/Loss(-) from ordinary activities before tax	230.02	161.39	179.10	882.48	362.22	227.11	157.28	216.17	826.98	344.77
3	Profit(+)/Loss(-) from ordinary activities after tax	177.23	101.17	146.51	639.92	262.95	167.54	93.12	150.97	607.59	250.63
4	Equity Share Capital	118.77	117.74	117.74	118.77	117.74	118.77	117.74	117.74	118.77	117.74
5	Reserves (excluding Revaluation Reserve as shown in the Balance Sheet of previous year	-	-	-	3221.95	1738.62	-	-	-	2924.51	1532.49
6	Earning Per Share (before extraordinary items) (of Rs.10/- each										
	Basic & Diluted	12.15	6.93	12.46	53.78	22.33	11.48	6.38	4.40	41.65	21.28
7	Earning Per Share (after extraordinary items) (of Rs.10/- each										
	Basic & Diluted	12.15	6.93	10.18	53.78	18.15	11.48	6.38	3.55	41.65	17.30

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MONDAY - MAY 11, 2026

Bond truths

Retail exposure to foreign bonds not a great idea

Online bond platforms, when first launched, were expected to spur retail participation in bond markets, replicating the equities experience. But they have managed just ₹1,500 crore in monthly volumes by end-2025. The Securities and Exchange Board of India (SEBI) is now looking at ease of doing business for online bond platforms. It has recently proposed two relaxations which aim at widening their menu. These are however unlikely to materially boost volumes.

SEBI seeks to allow online bond platforms to offer foreign debt securities through platforms regulated by the IFSCA (International Financial Services Authority). The rationale is that as online bond platforms are registered as stock brokers which deal in IFSCA-regulated products, this facility should be available to them too. Whether this will spark retail interest in foreign bonds is however questionable. Unlike stocks — where foreign markets are currently more attractive than India's — Indian bonds offer one of the most attractive yields globally for investors seeking a good balance of risk and reward. Sovereign bond yields for advanced markets such as the US, UK, Australia and Germany hover at 4-5 per cent, while Indian gilts trade at 7 per cent. Should investors fish for higher yields, their options narrow to risky markets such as Russia, Brazil, Mexico and so on. Investors may seek out foreign bonds for currency diversification, but this requires taking directional calls on exchange rates.

Bonds seem safe, but can expose investors to capital losses if they get the direction of rates wrong. Given that retail investors in India struggle even to understand domestic rate cycles, expecting them to decipher global macros to take a call on foreign bonds and currencies seems a tall order. Three, investments by domestic investors in foreign securities are capped by LRS (Liberalised Remittance Scheme) limits. Currently, overseas equities and real estate are the rage with more affluent Indians for their high returns, leading to significant foreign exchange outflows. Whether investors would take to low-return debt instead, and whether this is even desirable from a policy perspective, is moot. SEBI is also proposing to allow online platforms to add Section 54EC bonds, which are free of long term capital gains tax, to their menu. This will allow investors to own 54EC bonds in a more convenient form and may add to business volumes for the bond platforms. However, 54EC bonds are issued only by a handful of government-backed entities.

Overall, if the intent is to promote retail participation in bond markets, it is important to address poor information flow on bond yields and adverse taxation of debt income. Today, while it is quite easy for individual investors to access transparent quotes and order books to trade stocks, bond market trades remain opaque. The taxation of interest from bonds at slab rates, has been the key trigger for Indian investors seeking out equities in search of better returns.

OTHER VOICES.

THE WALL STREET JOURNAL. EUROPE

Iran tests Trump's will to fight

The Iran war has entered its skirmishing phase as the regime spent much of the past week firing at the United Arab Emirates and U.S. forces, who returned fire in self-defense. President Trump says the cease-fire endures, but for how much longer can that be while Iran keeps shooting? On Thursday Iran launched missiles, drones and small boats to attack three U.S. warships as they transited the Strait of Hormuz. This was an Iranian attempt to kill U.S. troops, but it was intercepted. The U.S. destroyers exited Hormuz successfully, an important demonstration of the U.S. path through the closed Strait. "No U.S. assets were struck," Central Command said, adding, "Centcom does not seek escalation." (NEW YORK, MAY 9)

GULF NEWS

AI's next leap may not come from bigger chatbots

Much of today's artificial intelligence boom has been built by a simple assumption: that scaling models, data and compute will continue to make systems more capable. That approach has taken us remarkably far. But it is becoming increasingly clear that scaling language models alone may not be enough for the next phase of AI. As AI moves beyond chat interfaces and into real-world systems, the limits of this paradigm are starting to show. Language models are trained primarily to predict patterns in language rather than to build a reliable model of how the world works. They can describe reality with impressive fluency, but that is not the same as robustly modelling it. That distinction matters. A language model can explain what typically happens when a glass falls off a table. (DUBAI, MAY 10)

LINE & LENGTH.

TCA SRINIVASA RAGHAVAN

A bloated Cabinet is a really bad idea

Adding more ministries and ministerial positions to oblige the MPs will hurt governance

Whenever the size of the Lok Sabha is increased to 850, the ruling party will be able to have 127.5 MPs (a cap of 15 per cent of the size of the Lok Sabha, as per Article 75 (1A) or the 91st Amendment of the Constitution) as ministers. But where will their portfolios come from?

Governments find this a difficult problem even now when they are allowed 81 ministers (15 per cent of 543). Imagine having to find 47.5 more portfolios, or 127.5 in all. One must feel sorry for the prime ministers of the future.

On the other hand, they may well feel quite happy because they can oblige more MPs from their party or of their coalition partners. That they can do this at the expense of the taxpayers would be the icing on the cake.

But patronage aside, the original question remains: where will the portfolios come from? As it is we slice and dice areas to find ministerial positions for the needy. So what should be one ministry becomes three or four.

Take transport, for example. We have a minister for the railways, a minister for shipping, a minister for road transport and a minister for civil aviation. Likewise, we have a minister for coal, mines, oil, power and alternative energy. We also have ministers for industry, MSMEs, steel, textiles, etc.

To see how ridiculous this is, compare it to the defence ministry. Would you like to have a separate minister for the army, navy, air force and missiles? Or would you like the ministry of external affairs to be broken up in some arbitrary way just to give a ministerial position to some politician?

If not, why break up other inter-related areas? It is clear that good sense prevails where national security is concerned but not where the economy is concerned. Jobs for the boys is all very well but what about good governance, policy, administration, etc?

TWO WAYS OUT

Obviously, there are two ways out of this absurd situation. One is to reduce the number of ministers currently allowed to 10 per cent from 15 per cent. But even that at 54.3 or 85 in the future might be too many.

The other is to re-integrate ministries to what they used to be. Or, actually, if possible do both. The cabinet rank vs MoS thing is not really the answer.

The two alternatives might look the same but actually they have very different consequences. One set is political, the other set is administrative. And they work oppositely to each other in that the more political you get by having more ministers, the worse your governance becomes.

The basic problem is overlapping jurisdictions. It's bad enough that the Concurrent List of the Constitution creates a lot of such jurisdictions. But if

> **Where will the portfolios come from? As it is we slice** and dice areas to find ministerial positions for the needy. So what should be one ministry becomes three or four

you have too many ministries you end up compounding the problem.

As a result a huge amount of time is spent by the Prime Minister's Office — and sometimes a specially designated person like the chairman of the PMEAC — on inter-ministerial coordination. So what can be done in two weeks with a clear chain of command and accountability, can take six months or more or, worse, never get done.

If this is how it is now, imagine how much worse it will become with more ministers and ministries, both at the Central and the State levels. It will be a wholly unworkable system created solely to satisfy party functionaries who want the status and perks of ministerial office.

THE COMPETENCE PROBLEM

The other looming cloud, as yet distant but approaching inexorably, is of competence. Can a prime minister find 127.5 men and women who have the competence to be effective ministers? Is it any coincidence that Narendra Modi has had to turn to non-politicians from the bureaucracy to be ministers?

So future prime ministers are going to be even more hard pressed because to be effective as a minister it's not enough to be able to win an election. Nor is it always possible to oblige the parent bodies of a political party by making their nominees ministers.

In the end it's the prime minister who has to run the government and if his council of ministers comprises persons who don't understand government and laws and rules and judiciary, it's he or she who will face the anti-incumbency issue.

A prime minister, in matters of governance, is only as good as his ministers. If they find it hard to deliver with 80 ministers in attendance, how much worse is it going to be with 120 of them messing up?

It's not a prospect that brings any cheer.

Strengthening GCCs to offset external shocks

Building a talent pipeline, nurturing innovation and improving physical infra can help India become a major GCC destination

Nilanjan Banik
Pradeep Racherla

We have exogenous and endogenous variables in economics. The recent West Asia conflict is an example of the former. Prior to the conflict, India's economy was in a Goldilocks situation — estimated GDP growth of 7.6 per cent in FY25 paired with a benign inflation rate of around 2 per cent.

The conflict has dramatically altered the outlook. Our heavy dependence oil, LNG, and LPG imports will impact growth, inflation, the balance of payments, and government finances. With global crude oil prices at elevated levels of $85-90/barrel in FY26, growth may slip to 6.7 per cent (against the projected 7 per cent).

There will be a second-order effects on inflation due to higher raw material costs across several industries. Meanwhile, concerns over AI are weighing on the competitiveness of our IT and services sector. In the past decade, surpluses from services exports were sufficient to offset the deficit incurred from energy imports. But that buffer may erode.

One element that will act as a strategic bulwark against fiscal fragility is the emergence of Global Capability Centres (GCCs). The 1,700 or so GCCs employ 1.9 million professionals and generated $64 billion in export revenue in FY24. GCCs have evolved from back-office operations into innovation powerhouses driving R&D, AI, and fintech for multinational giants across several industries including banking and financial services, technology, and pharmaceuticals. GCCs' dollar-denominated revenues provide a steady forex inflow, insulating the rupee from volatility.

Unlike remittances or trade exposed to tariffs, GCCs ensure recession-resistant growth, with revenue projections hitting $110 billion by 2030. By localising high-value jobs, they can reposition India as an economic and geopolitical safe haven.

POLICY MEASURES

There are several endogenous measures that policymakers should undertake to position India as a premier GCC destination, both at Central and State levels.

Pillar one — building the talent pipeline: entry-level graduates are plentiful, but job-ready graduates are scarce. The gap between university curriculum and industry expectations remains wide, particularly in areas such as artificial intelligence, cloud architecture, and advanced analytics.

Most GCCs in India have historically functioned as execution arms, but global mandates are shifting. Boards now want their India centres to lead product development, drive innovation, and own profit and loss responsibility.

That demands a new crop of mid- and top-level leaders — those who understand a company's strategic context, navigate cross-cultural complexity, and can advocate for India as a centre in global conversations.

EVOLVING. GCCs in India are now driving innovation GETTY IMAGES

Hyderabad offers an instructive lesson. Concerted investment by companies like Microsoft, Google, and Amazon, combined with deep university partnerships has produced a talent layer capable of stepping into such roles. The government has created an enabling platform through significant funding and support to develop institutes of global repute (e.g., ISB, IIT). The model is replicable, but it requires the government, universities and companies to re-imagine partnerships.

Pillar two — plugging into and nurturing local innovation: GCCs no longer import solutions from headquarters; they generate intellectual property in India.

This shift is possible when GCCs genuinely develop the local innovation ecosystem, not just reside within it. Bengaluru's experience is instructive. The density of startups, deep-tech firms, and national research institutes allows GCCs to tap into a laboratory of ideas.

Several GCC leaders in India describe structured programmes through which they co-develop prototypes with local startups, licence early-stage technologies, and absorb entrepreneurial talent that would otherwise leave for Silicon Valley.

Pillar three — physical infrastructure as a strategic imperative: Reliable power and data connectivity, accessible housing for a young workforce, and seamless last-mile connectivity are the baseline expectations of GCCs' location decisions today.

Not all cities and towns in India are attracting GCCs. The top six cities — Bengaluru, Hyderabad, Delhi NCR, Mumbai, Pune, and Chennai — together account for around 90 per cent of total GCCs.

Hyderabad's HITEC City offers a compelling case study in what purposeful infrastructure planning can achieve. Combining uninterrupted power supply, fibre-dense connectivity, and flyover access, gives the city a quality-of-life credibility that has attracted many Fortune 500 GCCs.

Pillar four — smart policy, competitive taxation, and regulatory clarity: The fourth pillar is where government has the most direct lever to pull. GCC leaders are not seeking tax giveaways; they seek predictability. The recent thrust by Telangana and Karnataka to publish dedicated GCC policies with single-window clearances is a step in the right direction.

The writers are Professors, and co-founders of the Center for Economic Policy at Mahindra University

BELOW THE LINE

Whistle *podu*!

The whistle is no longer just the sound of *Thala* Dhoni. It now echoes for Thalapathi Vijay, too. What began as the iconic rallying cry of Chennai Super Kings has found a political parallel in Tamilaga Vettri Kazhagam, where the whistle has emerged as a powerful symbol of Vijay's growing political movement. Across Tamil Nadu, the sound now carries both sporting passion and political emotion. In a striking coincidence on Sunday, as whistles faded at Chennai's Jawaharlal Nehru Indoor Stadium after Vijay's massive public event, they rose again just three km away at MA Chidambaram Stadium, where CSK took on Lucknow Super Giants in the IPL. Tamil Nadu may soon witness an unusual battle of whistles — one for *Thala*, the eternal cricket icon, and one for Thalapathi, the rising political force. The bigger question is which whistle will resonate louder — as CSK tries to move up the IPL points table or as TVK's governance kicks off.

Shaky finances

Even as C Joseph Vijay was sworn in as the Tamil Nadu Chief Minister, some youth have resigned their jobs. In a video that is doing the rounds, these young men say Vijay has promised ₹4,000 for unemployed youth and ₹2,500 for women. "My mother will get ₹2,500, and I will get ₹4,000 a month. That should be enough," he says.
Addressing the gathering after being sworn in, the actor-turned-politician said finances in the State were shaky!

Street smart

A Gujarati businessman has made the most of Prime Minister Narendra Modi's new-found love for *Jhal Muri*
While party-men were celebrating BJP's maiden victory in West Bengal by distributing *Jhal Muri* across the country, Balaji Wafers founder Chandubhai Virani from Rajkot flooded provision stores with *Jhal Muri* packets for just ₹5 and ₹10. Needless to say, it was selling like hot cakes without a single penny spent on advertisement.

No age limit to play

As British broadcaster and conservationist David Attenborough celebrated his 100th birthday on May 8, Lego marked the occasion with a classic gesture. To honour Attenborough's milestone birthday, the toymaker expanded the age range on its products from 4-99 years to 100-plus.
Earlier, several netizens had humorously pointed out that the iconic narrator would technically become "too old" to play with Lego sets once he turned 100.
Announcing the change on Friday, Lego said, "There's no age limit for those who never stop playing."

Our Bureaus

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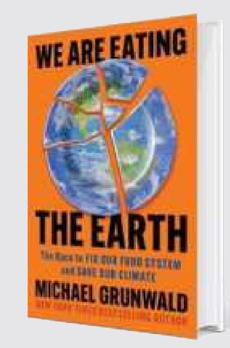
Food, a big climate challenge

A guide to how we can eat without hurting the earth

BOOK REVIEW.

Sudhirendar Sharma



Title: We Are Eating the Earth
Author: Michael Grunwald
Publisher: Simon & Schuster, New Delhi
Price: ₹999

Is farming the world's greatest cause of environmental destruction? Even as a thought experiment, it may be hard to imagine. Fossil fuels have been on top of the climate story, and farming nowhere features in this discourse. But even if the world weans itself from fossil fuels, it will still find itself slouching towards disaster as the fossil fuels story is only two-thirds of the climate story. The food we eat and the farms that produce it contribute to the crisis too.

The core issue is the expanding agricultural footprint. Already, the size of all of Asia and all of Europe has been converted into farmland and that is not without a cost — biodiverse habitats destroyed, pristine forests compromised and nature's footprints have shrunk. The farming sprawl is 30 times that of the urban sprawl. If current trends unfold, the world farmers will need to convert more area to fill nearly 10 billion human bellies by 2050. That would wipe out more forests and other natural carbon storehouses, our best defences against climate change. And on top, some millions would still go hungry.

PRECIOUS RESOURCE

The food system itself is not climate friendly and probably the most destructive. Award-winning journalist Michael Grunwald dives into *We Are Eating the Earth* to show how the biggest of our dilemmas about feeding the world can be resolved without devouring the planet. Land is our most precious resource, because it has the twin-task of producing much more food and absorbing much more carbon to save us. Crops, like us, are carbon-based life forms that grow on the earth and as Mark Twain said, they're not making more of it.

If the Paris climate summit targets are to be met, the world will need to eliminate three-fourths of food-related emissions by 2050. But soils have not yet been prepared to sequester such emissions; extractive agriculture instead depletes soils.

Grunwald has evidence to argue that every piece of land needs to be valued either as a potential food source or a potential carbon sink. The book cleverly frames the solution around efficiency: pointing out that the more food we can produce on less land, the more land we can keep in its natural state. Quitting fossil fuels can only be part of the solution, the challenge is the need to preserve ecosystems that store carbon.

Grunwald takes guidance from a brilliant scientist Tim Searchinger, a senior research scholar at Princeton and senior fellow at the World Resources Institute. Is meat really that bad? Searchinger's answer boils down to this: 'It's land....meat uses too much land, just like ethanol.' One cow meat is as much as 100 chickens, emitting 50 times more greenhouse gases than coal. But who cares as more animals suffer and die before reaching our plates.

Food is now as big a climate challenge as oil and coal. *We Are Eating the Earth* is a warning to the present generation to keep the planet habitable for the next generation. The production of our food harms the environment in many ways. While the farms that feed the world might not consume the entire earth, two-fifths of our planet's land area remains vulnerable. More sobering still, that figure is growing as the global population continues to grow and more people become wealthy enough to eat meat.

Grunwald has recommended four steps: produce more food per acre; protect key habitats and keep them off limits to food production; reduce demand for meat, biofuels, and other land consuming products; restore unproductive lands to nature. In conclusion, he advocates both systemic change and personal action. Each of us is eating the earth and how we eat matters.

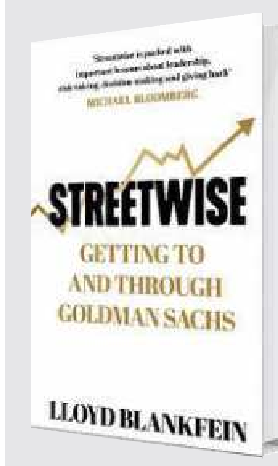
The reviewer is an independent writer, researcher and academic

Lessons from a titan of Wall Street

Goldman Sachs's most improbable CEO can teach India's entrepreneurs what's required to build something lasting

BOOK REVIEW.

Atul Shinghal



Title: Streetwise: Getting To and Through Goldman Sachs
Author: Lloyd Blankfein
Publisher: Orion Ignite
Price: ₹661

MEET THE AUTHOR

Lloyd Blankfein is an American investment banker who has served as senior chairman of Goldman Sachs since 2019. He won the Financial Times Person of the Year award in 2009

Lloyd Blankfein's memoir arrives with a title that stops you. *Streetwise.* For a man who ran Goldman Sachs — an institution so powerful that conspiracy theorists once accused it of running governments — the word seems almost mischievous. But that is precisely his point. Blankfein grew up in the public housing projects of East New York, Brooklyn, in a high school chaotic enough that he avoided the bathroom out of self-preservation.

Harvard was not a plan; it was an accident of ambition. By the time he steered Goldman through the 2008 financial crisis — the kind that makes central bankers age in dog years — the street in his title had nothing to do with Wall Street. It described a cast of mind: shaped by scarcity, calibrated by outsider status, never entirely softened by success.

Streetwise is part memoir, part institutional portrait, and — whether Blankfein intends it or not — a prompt for anyone building something in India today to ask some uncomfortably useful questions.

The book's most resonant argument, for an Indian reader, is about the advantage of never quite belonging. Blankfein spent his career as a cultural hybrid: present in the establishment, never fully absorbed by it. He argues this gave him a clarity that comfort rarely produces. He could spot talent that pedigree-obsessed institutions missed. He was harder to impress, and therefore harder to deceive.

I recognise this disposition in the best Indian founders I know. We build in a market that imported frameworks routinely misread. We pitch to investors who nod at our numbers while mentally converting them into something more familiar. The IIT or IIM credential still opens doors, but what has actually built India's most enduring companies is closer to what Blankfein describes: the ability to read what is genuinely happening, as opposed to what the narrative says should be happening. The outsider's eye is not a disadvantage to manage. It is the edge.

The section I found most instructive had nothing to do with trading floors or congressional hearings. It was about culture — the relentless, unglamorous work of maintaining shared values across decades of growth, public listing, and competitive pressure. Goldman's longevity, in Blankfein's account, did not come from any particular strategy or proprietary genius. It came from norms: how decisions were made, how disagreement was heard, what behaviour was rewarded and what quietly was not. Protecting that, he says, was harder than any single business challenge he faced.

THE IPO ISSUE

Another interesting section concerns Goldman's decision to go public — and whether it was the right call. Blankfein is candid: when partners stop betting their own capital, incentives shift in ways that are slow to appear and fast to compound. For Indian founders weighing the same question, his framing is clarifying. An IPO is not a finish line; it is a change of sport. The accountability changes, the timeline shortens, and the room fills with people who arrived after the hard part.

At Scripbox, we have learned the culture lesson the less elegant way. Culture is not what you say in the all-hands meeting. It is what your team notices you do when saying the right thing would be expensive. India's startup ecosystem has become genuinely skilled at raising capital and hiring fast. What we are still building is the institutional muscle to hold together when conditions stop being forgiving. Many companies I have watched falter did not fail for want of product or capital. They drifted — slowly, and then suddenly, to borrow from Hemingway.

Running through the book is a theme every founder recognises but few discuss openly: managing basic human wiring at senior levels. Fear makes bold people reckless. Greed quietly rewrites incentives. Ego turns the boardroom into a debate about who is right rather than what is true. The higher you climb, the less these impulses get checked by hierarchy — and the more damage they can quietly do. The best institutions build the muscle to name it early.

Blankfein has also got useful notes on intellectual honesty: the discipline of assessing things as they are rather than as you had previously decided they must be. He frames this not as virtue but as professional survival. At Goldman, the cost of self-deception was priced in real time. The same is true in financial services in India, though our feedback loops are sometimes more forgiving than they should be.

THE STRUCTURAL QUESTIONS

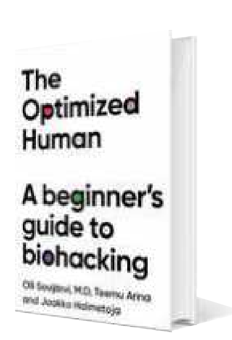
Where the book falls short is in proportion to its ambition. Blankfein acknowledges Goldman's role in the conditions preceding 2008 with the candour of a man who has thought carefully about exactly how much candour is appropriate. The structural questions — about power, concentration, and the social cost of financial sophistication — are present but not pressed. For Indian readers watching our own ecosystem begin to grapple with similar questions about who our success is actually for, this gap is worth noting.

Streetwise is an honest, often genuinely funny book about what building something lasting requires. It will not tell you how to raise your Series B or navigate your next RBI circular. But it will make you think about the kind of institution you are actually constructing — and whether, when the next crisis arrives without warning, as they always do, you have built something with the values to survive it, or merely the valuation.

Those two things are not the same. They never were.

The reviewer is Founder and CEO of Scripbox, a digital wealth management platform

NEW READS.

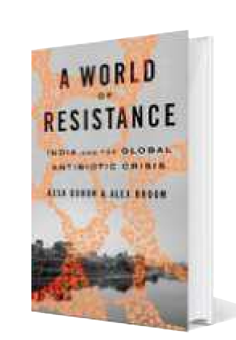


Title: The Optimized Human

Authors: Teemu Arina, Olli Sovijarvi and Jaakko Halmetoja

Publisher: Quercus

The book harnesses information on science, diet and tech and turns it into a plan that will boost your wellbeing

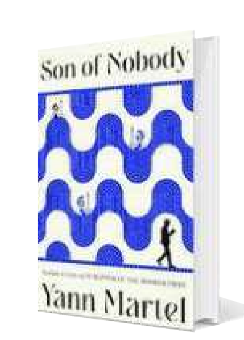


Title: A World of Resistance: India and the Global Antibiotic Crisis

Authors: Assa Doron and Alex Broom

Publisher: Belknap Press

The authors draw on years of fieldwork to examine the enormous social and environmental costs of over-reliance on antibiotics



Title: Son of Nobody

Author: Yann Martel

Publisher: Faber & Faber

Martel's novel moves between ancient Greece and the present day, but its preoccupation is less with the past itself than with its afterlives

thehindubusinessline.

TWENTY YEARS AGO TODAY.

May 11, 2006

Left rejects proposal on petro price hike

Even as the Left parties opposed any petro product price hike, the Petroleum Ministry presented them with a scenario where petrol, diesel and kerosene prices could be raised by ₹5 per litre and cooking gas by ₹50 per cylinder. This is against the required increase of ₹9.33 per litre for petrol, ₹10.43 per litre on diesel, ₹17.16 per litre on kerosene and cooking gas by ₹114.45 per cylinder, if domestic prices are to be brought in parity with import costs.

Reliance moots ship registry in SEZ

The Mukesh Ambani-controlled Reliance Group is toying with the idea of opening a shipping registry within the Special Economic Zone it is developing in Navi Mumbai. Ships registered with this registry are expected to be exempt from several taxes and enjoy more operational freedom.

Allot shares to HUDCO, Debt Tribunal tells CIAL

The Debt Recovery Tribunal, Delhi, has asked the Cochin International Airport Ltd (CIAL) to allocate 26 per cent equity shares to the Housing and Urban Development Corporation (HUDCO) before proceeding with its public issue, sources in CIAL said.

Short take

Achieving agri-energy security through PM-Kusum

M Srikanth
BS Venkatesha

Recently, the Ministry of New and Renewable Energy notified that timeline of the PM KUSUM scheme has been extended till March 31, 2027, as the set targets have not been achieved. PM KUSUM, a flagship scheme of the government, is intended to de-dieselise agriculture through micro-irrigation and transform the farmer into a prosumer (producer + consumer) through generation of decentralised solar power.

As India receives sunlight 250-300 days in a year, the agriculture sector is in a sweet spot to generate power for (micro) irrigation and agrivoltaic farming — growing crops between or underneath solar panels to improve the efficiency of the land apart from reducing the dependence on water. According to one study, India can electrify the entire country by tapping just one tenth of the sunshine in the Thar desert, wherein the plant load factor will be the optimum (19 per cent and above) due to high solar irradiance.

By extending the Production Linked Incentive scheme and reducing the goods and services tax from 12 per cent to 5 per cent, the government has been promoting domestic manufacture of solar panels/photovoltaic cells.

POLICY SUGGESTIONS

Component B of KUSUM (replacing diesel pumps with off-grid solar ones) has been relatively popular probably due to: a) higher subsidy amount provided for establishing off-grid solar pumps; b) delay in development of transmission grids; and c) reluctance of discoms to sign long-term power purchase agreements on account of their financial distress, declining tariffs, and demand-supply mismatches during peak hours. Although the Centre earmarked ₹34,422 crore under the scheme, most of the funds have not been released due to reluctance of banks in granting loans for lack of collateral security. So, the following measures may help farmers achieve energy security:

By establishing mandatory escrow accounts with banks, revenue from sale of additional solar power may lower the risk of loan defaults.

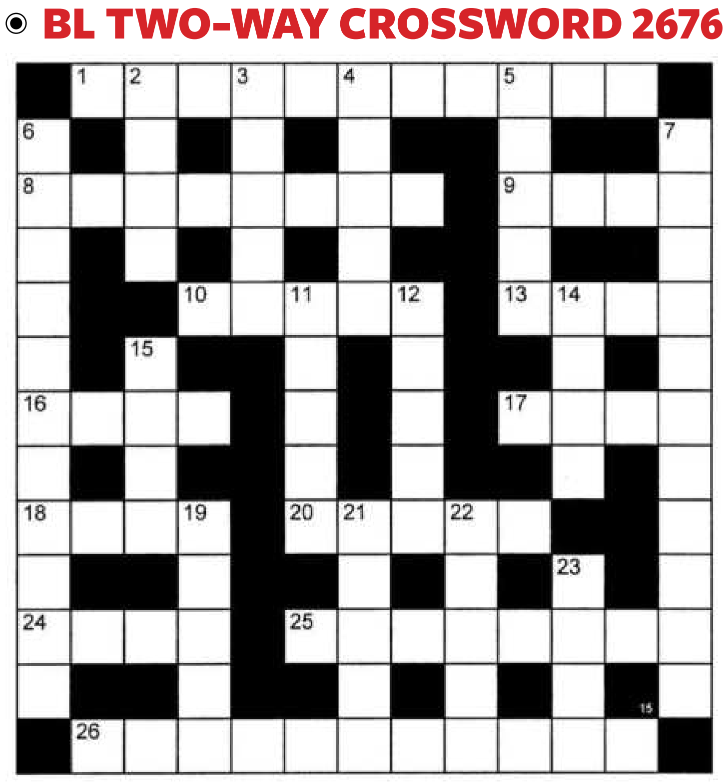
Farmers and discoms may be incentivised through monetisation of carbon credits to enhance financial viability of the projects.

By deploying real-time dual axis solar tracking and bi-facial module technologies, maximum sunlight may be captured; besides, maintenance of the solar panels may be undertaken through robotics to improve efficiency.

And, excessive solar power may be tapped to generate round-the-clock power supply by recharging batteries for electric vehicles in the context of fuel shortage triggered by the Iran war.

Srikanth is Director, MANAGE, Hyderabad, and Venkatesha is the DMD of NaBFID, Mumbai; Views are personal. With inputs from M Bhanusri and Shanmukh Raju

BL TWO-WAY CROSSWORD 2676



EASY

ACROSS
1. Dispirited, low (4-7)
8. Draws it out from (8)
9. Tub (4)
10. Old Testament devotional song (5)
13. Water from the clouds (4)
16. A Mauretanian (4)
17. Bewilderment, labyrinth (4)
18. Trim, tidy (4)
20. Correct the text (5)
24. Military force (4)
25. Rehearse (8)
26. Those attending hospital clinic (3-8)

DOWN
2. A swear-word (4)
3. Gets close to (5)
4. Praise highly (5)
5. River of Rome (5)
6. Harmful, causing loss (11)
7. Effects transition to new system (7,4)
11. In vigour, in being (5)
12. Small gnat-like fly (5)
14. Woe is me! (4)
15. Star suddenly flaring up (4)
19. Appointed meeting-place (5)
21. Excellence deserving honour (5)
22. Recess in wall (5)
23. Catalogue (4)

NOT SO EASY

ACROSS
1. Is it any wonder death can make one depressed? (4-7)
8. Draws out the bits that were printed in books (8)
9. 'The death of each day's life, sore labour's _____' (Macbeth) (4)
10. There's something of David's in the ship's almanac (5)
13. Raced about one wet fall (4)
16. Tie up craft in the open country (4)
17. One left the corn as it was hard to get through (4)
18. With no water added for the ox or bull (4)
20. Find me in conclusion a way to correct it (5)
24. Tea for team evidently finishes host (4)
25. Try it out when carpet, being shaken, is held (8)
26. Those attending clinic put on a set, it may be (3-8)

DOWN
2. Take it to be a bit of bad language (4)
3. Is approaching the answer perhaps abandoned by the West (5)
4. Sing praises of former partner who had much to give up (5)
5. Tribe milling about the flower of Rome (5)
6. Tried man let out for causing damage (11)
7. Bell-ringing finished, so one effects the switch (7,4)
11. Still breathing and perhaps kicking too! (5)
12. Its bite made me dig it out (5)
14. A sorrowful exclamation a girl didn't finish (4)
15. It suddenly flares as river turns to it (4)
19. Meeting will sit in judgment on heartless sot (5)
21. Richly deserve it after Summer is half gone (5)
22. Recess may provide a suitable place in life (5)
23. Strip cut from the edge of the things itemised (4)

SOLUTION: BL TWO-WAY CROSSWORD 2675

ACROSS 1. Pipe down 4. Swig 8. Imp 9. Dirge 10. Leg 11. Peruse 12. Still 13. Killing time 17. Extra 18. Problem 20. Pun 21. Emits 22. Viz 23. Rise 24. Defended

DOWN 1. Primps 2. Piper 3. Wired 5. William 6. Giggle 7. Sensations 9. Displeased 14. Intends 15. Deeper 16. Amazed 18. Prise 19. Livid

CHENNAI
businessline.
MONDAY - MAY 11 - 2026

NEWS SNIPPETS.

The wait for *atmanirbharta* in pumped storage projects

GE Vernova recently announced that it had secured an order — its second — from Megha Engineering and Infrastructures Ltd (MEIL) to supply nine 'reversible Francis turbines' for the Upper Sileru pumped hydro storage project (PSP). 'Reversible Francis turbines' are the heart of PSPs — they act as a motor, pumping up water, and as a turbine to generate electricity when the water flows down. GE had earlier won a smaller order from MEIL, for the 125 MW Kundah project.

The new order points to the complete absence of *atmanirbharta* in this key equipment for PSPs. Apart from the US-based GE Vernova, the other major suppliers are Andritz Hydro of Austria and the German Voith Hydro. Andritz has supplied to Tata Power's Bhivpuri project, Torrent Power's Saidongar-Karjat project and Greenko's Pinnapuram project. Voith has an order for Upper Indravathi project in Odisha.

The only Indian company that claims to have the technology, BHEL, has so far not announced any order wins. India has around 5 GW of operating PSP plants; another 13 GW are under construction and a further 9.5 GW have been approved. The Central Electricity Authority's 'Long-term national resource adequacy plan for 2026-27 to 2035-36' speaks of a need to build 94 GW of pumped hydro storage plants.

TERI's sunny forecast for 2,129 GW agriPV potential

India could have an agri-photovoltaic (agriPV) potential of nearly 2,129 GW, according to a new nationwide assessment by The Energy and Resources Institute (TERI), highlighting the scale of opportunity inherent in combining agriculture and solar power generation on the same land.

AgriPV refers to systems where solar panels are installed above or alongside crops, allowing farming and electricity generation to coexist.

The study used a GIS-based methodology to assess suitable cropland across the country. It applied multiple filters, including solar radiation levels, land slope, soil quality, flood risk, ecological constraints and crop compatibility.

TERI identified 47.35 million hectares of restricted cropland, of which 2.835 million hectares were found highly suitable for agriPV deployment under specific crops. Horticultural crops — including fruits, vegetables, spices and medicinal plants — emerged as the most compatible for dual-use systems.

Based on a power density of 0.42–0.75 MW per hectare, the study estimated India's agriPV potential at 1,192–2,129 GW — among the largest such opportunities globally.

The potential is concentrated in a few states. Maharashtra, Rajasthan, Andhra Pradesh, Madhya Pradesh, Karnataka and Uttar Pradesh together account for about half of the estimated capacity.

According to TERI, agriPV offers a "scalable, climate-resilient and farmer-centric" pathway to meet rising energy demand without displacing agriculture. The study said its findings could help move agri-photovoltaics from pilot projects to a coordinated national strategy, integrating food and energy production.

STANDBY ENERGY

CERC sends out feelers for 'capacity markets'

FEEDBACK. Regulator calls for comments on novel power purchase concept

M Ramesh

The National Electricity Plan (2026), scripted by the Ministry of Power, brought in several new concepts that reflect modern thinking. One of the concepts introduced is 'capacity markets'.

The Central Electricity Regulatory Commission (CERC) has followed up with a 'staff paper' on the subject and put it out for public comments.

The concept of 'capacity markets' could be somewhat confusing in India because the country's two-part tariff system already compensates generators through fixed capacity charges.

CAPACITY VS ENERGY

Generators under long-term power purchase agreements (PPAs) are currently compensated through the two-part tariff comprising a fixed capacity charge and a variable energy charge. In other words, the tariff includes an assured payment for the power plant, regardless of whether it runs or not.

The 'capacity market' concept further breaks the two-part tariff into two. It seeks to make capacity itself a separately traded, competitively priced product. Developers put up capacities under 'capacity markets'. They are not guaranteed recovery of the costs — they compete in the market. The lowest cost capacity gets business.

The 'capacity market' system tells generators that there is "no administratively assured payment for your capacity availability, so compete in the market and recover your costs — just as you do for your energy".

WHY NOW?

As renewable energy expands, the power system increasingly needs generators that may run infrequently but must be available at short notice — driving interest in capacity market mechanisms.

The staff paper says: "The central concern is that India's power system is changing rapidly due to the growing share of renewable energy, especially solar and wind, whose output is intermittent. While India's present market structure compensates generators mainly for the electricity they actually supply ("energy-only market"), the paper asks whether the country also needs a mechanism that pays generators simply for keeping dependable capacity available when required."

The paper notes that renewable-heavy systems face periods when solar or wind generation suddenly falls, while demand remains high. Under such conditions, the grid needs sufficient despatchable or flexible resources — thermal plants, hydro stations, storage systems, gas plants and demand response resources — to maintain reliability.

However, many of these assets may not remain financially viable if their revenues come only from selling electricity in spot markets, particularly during periods of low market-clearing prices caused by abundant renewable generation.

CERC, therefore, explores the concept of a 'capacity market', under which generators would receive payments not only for actual energy supplied but also maintaining available capacity. In effect, the system would compensate plants for being ready to supply power whenever needed. The staff paper stresses that the issue is not immediate shortage of installed capacity — India currently has surplus capacity in many regions — but the future adequacy and financial sustainability of reliable generation as the energy mix changes.

PROS AND CONS

The paper also outlines the possible advantages of such mechanisms in India. These include improving investment signals for flexible generation and storage, ensuring resource adequacy during peak demand periods, supporting grid reliability, and facilitating higher renewable penetration. Capacity markets could also encourage investment in battery storage and other balancing resources. On the other hand, critics argue that capacity payments can distort markets, increase the cost for consumers and lock in inefficient thermal assets longer than necessary.

Capacity markets are not about to invade India anytime soon, but they are making an appearance on the horizon.

FLEXI ASSET. Thermal-green power combo for grid stability B JOTHI RAMALINGAM

PRESCIENT PUSH

How India's ethanol hedge is paying back

Amid global supply disruptions, blended petrol is growing in stature as a sustainable fuel of the future

CK Jain

India is preparing for E85 — petrol blended with 85 per cent ethanol — and even E100 fuels for flex-fuel vehicles that can run on any blend. This push looks prescient. As crude oil volatility and shortages returned with force in 2026, triggered by the Strait of Hormuz blockade and global supply disruptions, India found itself buffered by a policy conceived over two decades ago: the ethanol-blended petrol programme.

What began quietly in January 2003 as a modest initiative — with a 5 per cent blending target across nine states — barely registered in the public discourse. Even by 2014, the national blending average was just 1.53 per cent. But the groundwork had been laid steadily, through incremental policy support, distillery capacity creation, and a long-term view of energy transition.

The real shift came about in 2018. The National Policy on Biofuels redefined the programme's scope, expanding ethanol feedstock beyond sugarcane molasses to include damaged food grains, surplus rice, maize, and agricultural residues. This diversification reduced reliance on water-intensive sugarcane and brought the grain-producing regions of north and central India into the ethanol economy, creating new income streams for farmers.

The scale-up that followed was dramatic. Ethanol blending increased near 20-fold from 380 million litres in 2013-14 to 7.07 billion litres in 2023-24. Blending levels climbed to 14.6 per cent in 2023-24, nearly 18 per cent by end-2024, and the targeted 20 per cent by March 2025 — five years ahead of schedule.

Today, India's ethanol production exceeds the requirement for E20 blending. The surplus is not a problem but a strategic strength, ensuring readiness for higher blends such as E25, E30 or E40.

The next phase is already taking shape. The draft rules for E85 fuels are under preparation, alongside a push for flex-fuel vehicles (FFVs).

The CAFE III emission norms, expected from April 2027, are under review with proposals to treat FFVs on par with electric vehicles in emission credits.

This could accelerate their adoption and deepen ethanol's role in the transport sector.

Beyond road transport, aviation is emerging as a new frontier for blended fuels. In April, the government amended aviation turbine fuel (ATF) regulations to include blended and synthetic fuels, effectively clearing the path for sustainable aviation fuel (SAF). Blending targets have been set at 1 per cent by 2027, 2 per cent by 2028 and 5 per cent by 2030 — marking ethanol's entry into a high-value sector.

The foundation has been built, capacity exists, feedstock is diversified, and flex-fuel vehicles are on the horizon. What India's ethanol programme now requires is continuity — the same patient, sustained commitment that built it.

The writer is President, Grain Ethanol Manufacturers' Association

PERFECT MIX. India's ethanol production currently exceeds the requirement for E20 blending ISTOCK

DEADLINE FOR DISCOMS

Liquidation of 'regulatory assets' will aid industrial RE use

M Ramesh

For Coimbatore-based Natrinai Ventures, the Supreme Court's August 2025 order directing electricity distribution companies (discoms) to liquidate their regulatory assets within four years came as a major boost. The IPO-bound company, which operates under the brand name NGE Green, plans to build 350 MW of solar capacity — 50 MW by September and the rest over the next three years — and sell power directly to consumers. The order strengthened the company's confidence in the market.

In simple terms, liquidating regulatory assets means raising electricity tariffs. That, in turn, makes 'solar-plus-battery' solutions more attractive to consumers. The commercial and industrial (C&I) market is already growing rapidly, with estimates suggesting it could reach 80 GW by 2030.

Though the Supreme Court later relaxed its directive, giving discoms seven years instead of four to eliminate accumulated regulatory assets, the order has strengthened the case for open-access renewable energy.

Regulatory assets refer to costs incurred by discoms but not recovered through tariffs in a given period, leaving them to be recovered later. In effect, it is a way of postponing tariff increases.

Over time, such deferred costs have piled up to nearly ₹3 lakh crore across Indian discoms, with Tamil Nadu, Uttar Pradesh, Rajasthan and Delhi accounting for a significant share. The Supreme Court said tariffs must, as a "first principle", reflect actual costs. It also cited Rule 23 of the Electricity Rules, whereby regulatory assets should not exceed 3 per cent of approved annual revenue requirements.

Following the order, ratings agency ICRA estimated discoms may need tariff hikes of 20-40 per cent to eliminate regulatory assets.

The apex court also *suo motu* directed the Appellate Tribunal for Electricity (APTEL) to monitor the implementation of its directives. Last month, APTEL pulled up the Delhi Electricity Regulatory Commission for delaying the liquidation of regulatory assets "for one reason or the other" and remarked that its conduct appeared "mala fide".

GREEN OPPORTUNITY

Discoms can eliminate regulatory assets either through tariff hikes or support from State governments; a combination of both appears likely. Either way, consumers — especially industrial users — are expected to face higher tariffs in the coming years.

The renewable energy industry sees opportunity in this shift. Eazhil Sudharman, Whole-time Director and CEO of Natrinai Ventures, says the company has already tied up with customers for the first 50 MW projects coming up by September, at tariffs of ₹4.20–4.60 a unit. After additional charges such as cross-subsidy levies, the effective tariff works out to be around ₹6.5 a unit — still attractive for many industrial consumers.

The ₹430-crore company expects improved realisations for future projects — a prospect that could support its planned ₹130-crore IPO.

Other industry executives share the optimism. "We are witnessing the end of the era of subsidised grid stability," Vinay Pabba, CEO of Hyderabad-based Vibrant Energy, says. As legacy costs move from discom balance sheets to consumer bills through mandatory surcharges, the economics of renewable energy for the C&I sector become stronger, he reasons. Renewable power, he adds, is increasingly becoming "less of a procurement choice and more a long-term hedge".

Ashwitha Tunga, policy analyst at the Winnipeg-based International Institute for Sustainable Development (IISD), calls the liquidation of regulatory assets a "welcome step" that is long overdue.

"Discoms have long struggled to raise electricity tariffs, leading to a sharp rise in electricity subsidies — reaching ₹2.4 lakh crore, or 1.3 per cent of real GDP, in FY25," Tunga says over email. According to IISD estimates, between FY19 and FY25, discoms' dependence on subsidies to cover operating costs increased in 23 of the 30 states and Union territories.

"Regular tariff revisions can help discoms attain financial viability while avoiding abrupt tariff shocks to consumers," Tunga says, adding that disciplined tariff-setting practices would prevent future accumulation of regulatory assets.

TARIFF SHOCKER. More takers for 'solar-plus-battery' K RAGESH

INDUSTRIAL LACUNA

Why Tamil Nadu needs more verified clean power

Martand Shardul

An inconvenient truth could slow Tamil Nadu's industrial momentum. Its next phase of growth may be constrained not by finance, logistics or labour, but by restricted access to risk-adjusted clean power. As global supply chains increasingly demand low-carbon manufacturing, access to reliable and verifiable renewable electricity is becoming a key determinant of competitiveness, particularly for export-oriented units and micro, small and medium industries (MSMEs).

Tamil Nadu is among India's leading manufacturing and export-oriented states and has emerged as a major renewable energy manufacturing hub. The State's Circular Economy Investment Policy 2026 reflects a growing recognition of global sustainability and carbon disclosure requirements, including emerging frameworks such as the EU's Carbon Border Adjustment Mechanism.

However, MSMEs, which form the backbone of Tamil Nadu's industrial ecosystem, face a persistent challenge. They often lack the scale and institutional capacity to procure clean power through complex, long-term renewable energy contracts. The challenge goes beyond electricity tariffs. The need is for power that combines price certainty, reliability of supply, contractual stability and verifiable low-carbon/carbon-free energy consumption in the production process.

Additionally, MSMEs often lack internal capacities to meet environmental, social and governance framework requirements. Therefore, the risks are manifold. Tamil Nadu already hosts one of India's largest concentrations of renewable-powered industries, particularly with captive installations and 0.5 MW or more power demand. Existing instruments such as the Green Day-Ahead Market and Green Term-Ahead Market, available through power exchanges, improve renewable energy access but remain largely transactional platforms that do not fully address the needs of MSMEs and/or export-oriented industries.

AGGREGATING DEMAND

To further its goal of becoming a global manufacturing hub, Tamil Nadu must move beyond renewable capacity addition to focus on institutional mechanisms that improve access to risk-adjusted green power.

First, the State could consider a green energy marketplace that aggregates MSME demand and enables cheaper access to risk-adjusted, standardised renewable power contracts linked to open-access and power exchange mechanisms. Aggregating demand can aid negotiating power, reduce counterparty risk and improve access to verifiable clean energy.

Second, Tamil Nadu could integrate net-zero considerations into new investment projects at the detailed project report stage. Embedding clean energy procurement and emission baselines in project planning can improve bankability and access to climate-aligned finance.

Third, the State could develop a green investment tracker to consolidate industrial data on energy use, renewable adoption and emissions intensity. Such a mechanism can reduce information asymmetry, support green investment readiness and function as a pre-due diligence layer for investors evaluating climate-aligned manufacturing ecosystems.

BEYOND COST FACTOR

Industrial competitiveness will be determined not by cost alone, but also the ability of firms to demonstrate how their production is powered. Through institutional and market innovations, Tamil Nadu can evolve into a globally competitive, low-carbon manufacturing hub.

The writer is a former policy director (India) at GWEC and a former fellow at TERI. Views are personal

STARTING SMALL. MSMEs can benefit from a green energy marketplace suited to their needs SIVA SARAVANAN S

RENEWED PURPOSE

Wartsila's fresh pitch to industry — grid stability

M Ramesh

Finnish multinational Wartsila has long been known as a supplier of large diesel- and gas-fired generators — powering ships and serving as standby electricity sources for industry.

But with diesel losing ground on both economic and emission considerations, the company is realigning itself with the evolving energy landscape — as a grid balancer to support renewable energy.

Is Wartsila moving into a niche? R Venkatesh, Managing Director, Wartsila Energy India, prefers a different framing. "We have changed our profile from industry captive energy suppliers to utility grid balancing, flexible solutions," he told *businessline*.

The pitch to industry is straightforward: Use Wartsila's engines to stabilise the grid. Its generators can come online within minutes, stepping in when solar or wind generation dips.

Wartsila has installed 3.5 GW of engine capacity in India, of which 1.2 GW is gas-fired. It sells 120–150 MW generators annually, Venkatesh said, adding that the North-East is emerging as a key market.

On concerns over gas price volatility, he argued that fluctuations are largely short-term, and prices tend to stabilise over longer periods.

Asked whether the company is competing with battery energy storage systems (BESS), Venkatesh said both technologies are needed for grid stability. "It is not either-or," he said.

Wartsila manufactures BESS too, though not for the Indian market at present.

The company also produces marine engines and sees India as a potential market. At present, its Maharashtra facility manufactures balance-of-plant components for global supply.

OFFICE BUZZ.

The economy may be stressed, but the good news is that some companies are expanding investments in India and opening new offices

Tech giant Adobe opens seventh office in India

Tech leader Adobe, which began operations in India in 1997, has just opened its seventh office in the country. The IGBC Platinum certified facility in Noida underscores Adobe's continued investment in India as a key hub for innovation and growth. The 8,000-strong workforce in India is Adobe's largest outside the US, contributing to more than a third of its innovation.

The campus brings together over 700 employees across engineering and customer-focused roles. Abhigyan Modi, Country Manager–Adobe India and Senior Vice President, Document Cloud, Adobe, said the teams in India play a critical role in advancing its AI-driven future.

Swati Rustagi, Head of Employee Experience, Adobe India, said, "The office space is designed to inspire our people — through connection, conversation and teams coming together... to unlock their full potential."

CIEL HR inaugurates new, 100-seat Mumbai office

CIEL HR has inaugurated its new office in Mumbai, marking a significant step in its journey to building a unified "PeopleOS" ecosystem. The new workspace brings together all CIEL HR entities under one roof, enabling closer collaboration and seamless delivery of end-to-end HR solutions. Designed to accommodate over 100 employees, the Mumbai office will serve as a key hub for growth, the company said. CIEL HR plans to expand its team in the city, in line with the rising demand for integrated, technology-led HR services.

"At CIEL, we believe that organisations function best when every aspect of people management works in tandem. Our PeopleOS approach is about connecting the dots across the employee lifecycle, from building to development to operations. This new office reflects that philosophy, bringing our capabilities together to serve clients more effectively," said K Pandiarajan, Executive Chairperson of CIEL HR Group.

FUTURE SHIFT

How Indian IT majors are decoding AI

TECH-TONIC CHANGE. There is a structural shift not only in the services IT firms deliver, but also how they price it and hire talent for it

Sanjana B
Venkatesha Babu

Outside the rarefied world of agri-business, not many may have heard of Olam Group. Nevertheless, headquartered in Singapore and majority owned by Temasek, it is a global behemoth with revenues exceeding $50 billion. It is one of the world's major suppliers of food and industrial raw material, with operations in more than 60 countries.

In April, Wipro, India's fourth-largest IT services company by revenue, secured a massive eight-year, $1 billion-plus strategic transformation deal from Olam. Wipro will deliver end-to-end transformation services using its AI-powered suite, Wipro Intelligence, across Olam's 'farm-to-fork' value chain — farming, forecasting, trading, supply chain operations, and customer engagement.

This deal is not unusual.

The Indian IT services industry currently faces its biggest structural shift, driven by AI. It is changing not just the nature of services firms deliver, but also how they price projects, hire talent, structure teams, and compete globally. As Venu Lambu, CEO and MD of LTM, says, AI is fundamentally reshaping the industry.

At Wipro, for instance, during the company's Q4 earnings conference call, CEO and MD Srini Pallia highlighted a strategic pivot: "We have launched a dedicated AI-native business and platforms unit to expand beyond a services-only model to a services-as-a-software approach. This unit will operate with dedicated leadership, focused investments, and a distinct operating model to accelerate enterprise-grade agentic AI solutions.

"Together with core services, this creates a dual-engine model, driving transformation at scale while building AI-native platforms that differentiate services, enable repeatable deployments, and unlock non-linear growth," he said.

AI offerings of Indian tech majors

Company	Main AI platform or brand	Core positioning	Key features	Strategic differentiator
TCS	WisdomNext	Unified enterprise AI orchestration platform	Multi-LLM integration, AI agents, enterprise AI deployment governance	Integration-first approach for large enterprises combines cloud and AI delivery under one roof
Infosys	Topaz	AI-first transformation suite	Gen AI services, 12,000+ AI assets pre-trained models, workflow automation, knowledge graphs	Broadest enterprise AI stack among Indian IT firms. Heavily platformised and industry-oriented
Wipro	ai360	Embedded AI across all services and operations	Enterprise Gen AI, AI copilots, multi-cloud AI architectures, responsible AI	AI everywhere strategy: Embedding AI into every platform, tool, and delivery process
HCL Tech	AI Force/AI Foundry	Agentic AI and workforce automation platform	Modular AI stack, software engineering automation, AI agents, IT operations AI	Strong engineering-led AI strategy focused on productivity and enterprise operations automation
Tech Mahindra	Project Indus	Domain-led applied AI, strong focus on telecom vertical AI	AI solutions for telecom, BFSI, manufacturing, AI labs, enterprise co-pilots	Focus on verticalised AI use cases, especially telecom and industrial AI deployments

Source: Company reports/analyst commentary

Meanwhile, Tata Consultancy Services CEO and MD K Krithivasan has consistently maintained that AI is "an opportunity rather than a threat". During recent management commentary, he said that "while AI models exist, large enterprises need partners to implement them safely and effectively into complex, legacy systems".

THREAT OR OPPORTUNITY?

The Indian IT industry has been a spectacular success post the 1991 liberalisation of the economy, accounting for nearly 6 million white-collar jobs and contributing about 8 per cent of India's GDP. IT industry body Nasscom estimates that last year Indian IT services firms cumulatively had revenues of $283 billion, of which $224 billion was exports alone. Between 2010 and 2019, before AI became a buzzword, Indian IT services grew at 10–12 per cent. Now the growth rates have nearly halved.

Over the last few decades, Indian IT scaled up through the classic pyramid model, where a large base of junior engineers was billed on an hourly basis to handle repetitive development, testing, maintenance, and support work. But AI has essentially disrupted this model, as tasks like code generation, testing, documentation, migration, application maintenance, and customer support are increasingly automated.

Five years ago, a large-scale SAP deployment, or a full-scale ERP transformation involving modules across finance, supply chain, manufacturing, HR, and analytics would typically take 24-36 months. Today, with AI, it can be rolled out in 6–9 months.

DD Mishra, VP Analyst, Gartner, notes that decision-making cycles for small-scale GenAI pilot projects have compressed from several months to just 2–4 weeks. Enterprises are eager to fail fast or quickly capture productivity gains, often funding these initiatives through innovation budgets rather than traditional IT allocations. This shift allows projects to bypass lengthy procurement cycles and brings AI deal approvals under the direct scrutiny of CFOs and CEOs.

Earlier, in traditional IT services, more people meant more revenue. AI has broken this equation, with clients expecting fewer engineers, lower costs, productivity-linked pricing, and faster delivery. Indian IT companies, therefore, have tried to evolve from mere order takers to AI-led transformation partners. Hitherto dependent on services revenue rather than IP-led or proprietary products, they are now leaning more towards AI orchestration platforms, domain-specific co-pilots, reusable enterprise AI agents, and industry AI stacks.

Mishra says Indian IT companies are rapidly reworking their AI strategies, moving beyond the traditional labour arbitrage model towards platform-driven and outcome-based solutions. Unlike their global counterparts, which are taking a consulting-centric and acquisition-heavy route, Indian firms are emphasising the integration of AI through scalable platforms and measurable outcomes.

Jimit Arora, CEO of Everest Group, observes that the competition is over operating model reinvention capability. "Indian IT firms have a structural advantage in delivery scale and process depth. Global peers like Accenture and the Big Four have an advantage in business advisory and C-suite access. The firms that close the gap are the ones to watch. We are already seeing a K-shaped separation in the growth trajectory of the Tier-1s. Further separation will happen through execution — execution creates trust, which permits getting more business, and drives more execution," he says.

AI-TAGGED VS AI-LED

According to Biswajeet Mahapatra, Principal Analyst, Forrester, most of the AI offerings are extensions of existing digital, data, and automation practices rather than net-new AI-first service lines.

While there are pockets of genuine AI-led engineering, most client-facing portfolios reflect re-bundling and re-positioning of prior capabilities with incremental AI components embedded into delivery.

"A minority of active pipelines are truly AI-led, where AI is the primary buying driver. A much larger portion is AI-tagged, where AI is positioned as an enhancement to transformation, modernisation, or productivity programmes," Mahapatra says.

He adds that AI will remain a modest contributor to overall revenues in the near term. Meaningful revenue impact is more likely once AI transitions from feature-level inclusion to operating model and business process transformation at scale. This shift depends on clients funding structural change rather than incremental automation.

Over 3-7 years, there should be significant acceleration for the services space, even as the nature of the winner changes, according to Arora. Every prior service era — outsourcing, offshoring, and digital — followed this exact curve.

"The firms winning in this era will be doing three things simultaneously. Playing defence by managing the run-off in their legacy business intelligently. Playing offence by taking a share in vendor consolidation deals where clients are reducing their supplier count and concentrating spend. Creating new plays by shaping client demand through operating model evolution rather than just responding to RFPs (request for proposals). The race is over how much new growth can be captured through the operating model shift before that ice cube gets too small," he says.

Over the next 3-5 years, concludes Mahapatra, providers who successfully productise IP, standardise AI delivery, and align AI with industry workflows are likely to emerge as AI leaders than those focused primarily on labour-based scale-up.

When we are starstruck!

PEOPLE@ WORK

KAMAL KARANTH

Did voters in Tamil Nadu see actor Vijay as an agent of change, or were they simply starstruck? Enterprises are no different; they have a penchant for hiring leaders with aura. "I want resumes from Google, Apple, Amazon," is something you will frequently hear if you are in the technology industry. When hiring, organisations are often enamoured by qualifications, brands, and persona, and tend to throw caution to the winds. The usual filters applied when recruiting or promoting take a back seat due to the star allure and lead to wrong appointments.

If you are of my era and follow cricket, you wouldn't forget how the experiment of appointing the once-in-a-generation batter Sachin Tendulkar as captain and India's possibly best all-rounder Kapil Dev as coach went.

HERO'S WELCOME. Fan frenzy at TVK leader Vijay's poll rally B JOTHI RAMALINGAM

STAR TANTRUMS

A senior sales head of a Fortune 100 company was being assessed for a rival firm, and he kept posturing in different ways during the interviews as though he wasn't even interested in this career move. He would say things like "you know I travel only business class" when he had to meet the board members in another city. For the next round of interviews, he made sure the chairman got invited to the golf club he was part of, to show off his peer network there. But then his demeanour, pedigree, the brand he was employed with, and his social status influenced all the people who processed him. The HR team struggled to manage him through the offer process, as he would deny them easy access. However, he had managed to charm the board and the CEO so much that all the enabling functions had to put up with his tantrums during his onboarding.

THE BRAND

When I joined the recruiting industry a couple of decades ago, the craving to hire leaders from GE was rampant as there was a big aura around its leadership development. Whether it's Microsoft, Meta, and Nvidia in the tech world, or Unilever, P&G, and Britannia in the consumer industry, every segment has a set of marquee brands. The innovation, the product range and their longevity have come from the quality of the people they have hired and developed over decades. The adulation by their rivals and the aspiration to hire them is definitely understandable. I once had a huge argument with a client as to why she was so biased about hiring from big brands. She said, "Look, these Fortune 500 enterprises have evolved processes to hire, train, and develop employees. So, when someone has long tenures in such reputed companies, I believe they imbibe many of the qualities those companies have institutionalised."

I could relate to it. When I quit my first job at Eli Lilly, many competitors interviewed me and that feeling was special, even though none offered me a job. Remember the expectations bandwidth created when Starbucks hired its CEO from McKinsey. Alongside BCG and Bain & Company, the Big Three consulting companies are a huge draw with students at campuses too.

THE PEDIGREE

Try slipping in the resume of your favourite nephew who has great grades from a non-IIT engineering college in a FAAMNG — Meta (formerly Facebook), Amazon, Apple, Microsoft, Netflix, and Google (Alphabet) — company. You may be told that they only go to IITs and BITS for internships and campuses. Though we keep hearing that skills matter more than pedigree for graduate recruitment, large enterprises are quite hardwired to favour premium institutes. How can we ever deny our biases towards people from IITs and IIMs? I know of leaders who have interviewed Stanford and Wharton graduates, even though they didn't have any matching roles. I am sure you've seen people flaunting their Harvard alumni status on LinkedIn even if they were there for just a five-day course. If your kids want to study abroad, wouldn't you want them to go to an Oxford, Yale or NYU?

DEVIL WEARS PRADA

One of my bosses had a habit of walking up to the gate to see off the jobseekers he interviewed. Many of us, including the candidates, thought of him admiringly: "What a gesture and a humble leader." But turns out he was merely observing people, to find out which vehicle they drove and, in turn, their taste. Sounds crazy, right? But when hiring CXOs in service industries, their look, manner of speaking and behaviour become crucial.

Many years ago, during a merger, we had a new boss from Australia. Our thoughts were on the new plans for the region and our career growth after the acquisition. However, the post-town hall discussions were about the Tiffany's bag she carried, the branded jewellery she wore, and the Range Rover she arrived in. It wasn't her fault that she dressed stylishly; she possibly knew by then the importance of first impressions, and she was right.

The reality is that enterprises like to hire leaders who have the gift of the gab, an executive presence, and a pedigree from marquee brands, if they can get all in one. Even if this hack has failed many times, the pedigree and the brand of the company you hire from act as insurance.

"Your bag, your scarf, your umbrella tell the world who you are, what you care about" — Emily (*Devil Wears Prada 2*)

Kamal Karanth is the Co-Founder of Xpheno, a specialist staffing company

STRATEGY SEAT

Fire me if I fail: Pirojsha Godrej

Amit Vijay Mohile

"The first person who should be fired if my performance is poor is me," declares Pirojsha Godrej, the incoming chairman of the Godrej Industries group. Asked who in the company would dare to fire its top leader, Pirojsha points to the management and governance structure he reports to, underlining how the 129-year-old group is attempting to combine legacy values with sharper accountability, faster execution and disciplined scale-up.

That structure spans both family leadership and professional management. Pirojsha will oversee the broader Godrej group while continuing to chair Godrej Properties, Godrej Capital and Godrej Ventures. Burjis Godrej will chair Godrej Agrovet, while executives such as Sudhir Sitapati at Godrej Consumer Products and Sunil Kataria at Godrej Agrovet are being given larger operating mandates.

LEGACY-PLUS PUSH. Pirojsha Godrej, chairman-designate, Godrej Industries group

As the Godrej group prepares for a generational transition later this year, it is quietly reshaping how it operates, giving businesses greater independence, institutionalising board-led oversight and pushing each vertical to meet stricter return and execution thresholds. Internally, businesses are expected to deliver 18–20 per cent returns or demonstrate a credible path to leadership and scale. If they don't then restructuring or even exits are on the table, irrespective of who is in charge.

FOCUS ON THE FUTURE

For decades, the Godrej group represented stability and stewardship-led growth.

"The key, as we see it, is combining the best of our past, the incredible set of values built consistently over generations, while avoiding the risk of looking backwards too much and keeping focus firmly on the opportunity ahead," Pirojsha says

Portfolio discipline has been building for years under the next generation's leadership. Businesses considered peripheral to the group's long-term priorities were either exited, de-prioritised or re-aligned. For instance, Godrej sold premium grocery chain Nature's Basket to the RP-Sanjiv Goenka group in 2019, while the 2024 family settlement formally separated capital-intensive businesses such as appliances, aerospace and heavy engineering into the Jamshyd Godrej-led Godrej Enterprises group.

At the same time, the group sharpened its focus on consumer products, real estate and financial services while increasingly shifting operating control toward professional executives rather than family-led management.

CAPITAL FIRST

Unlike conglomerates rushing into semiconductors, infrastructure and data centres, Godrej is avoiding sectors where capital intensity and execution complexity outweigh strategic advantage.

The group evaluated data centres but stayed away, citing technology risk and management bandwidth constraints, while newer bets such as Taj The Trees, a mixed-use community project in Vikhroli, Mumbai, aligns more closely with its strengths in urban real estate and premium consumption.

Fiscal discipline is most visible in Godrej Properties, which scaled up nationally through joint development agreements rather than warehousing large land banks. The company closed FY26 with ₹34,171 crore in booking value, making it India's largest listed residential developer by sales value for the third consecutive year.

There's a similar approach at Godrej Consumer Products, as managing director Sitapati initiated a "2040 backcast" strategy to identify categories that were likely to grow as India becomes wealthier and build portfolios around them.

That thinking drove bets in liquid detergents, fragrances and digital-first grooming categories, and acquisitions such as Raymond Consumer Care and men's grooming brand Muuchstac. "Capital and management bandwidth are not infinite," Pirojsha says, adding that the "99 per cent rule" will apply to all situations.

THE '99% RULE'

"Ninety-nine per cent of what the businesses do should not rely on each other," elaborates Pirojsha. This highlights how the Godrej Industries group differs from other newer integrated conglomerate models.

So, while the businesses operate independently, the group centre focuses on talent, culture, sustainability and strategic alignment. The family name may be on the door, but the operating mandate is increasingly not a family matter.

Ironically, the biggest challenge identified by Pirojsha is not macroeconomic volatility but culture. Godrej Capital, which did not exist five years ago, now has around ₹25,000 crore worth assets under management. "We are a fast-growing organisation with a lot of new people coming in," he says. "What we deliver is very important, but so is the 'how'."

That also explains why the Godrej group is relaunching its identity around the tag "Crafting Tomorrow Since 1897" — an attempt to balance continuity with reinvention. The transition is, ultimately, less about succession and more about redesigning how a legacy conglomerate functions in an India increasingly defined by scale, speed and execution.

The group has thrived for 129 years by being careful, deliberate and slow to overextend itself. What Pirojsha is attempting now is something more difficult: preserving the institutional trust while pushing the group to be faster, sharper and more performance-driven.

THE REDESIGN

When Nadir Godrej steps down in August to become chairman emeritus, the formal succession process will conclude. Operationally, however, the redesign is already underway. The 2024 split of the broader Godrej empire into the Godrej Industries group and Godrej Enterprises group removed ownership ambiguity and forced each side to define a clearer strategic identity.

"Values without performance is a bit empty, because our reputation and relevance ultimately depend on our ongoing results, not just what someone did in a previous generation," Pirojsha sums up, on the need for a clear plan ahead.

CHENNAI
businessline.
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FUND FACTS.

$84 million

Dholakia Lab Grown Diamond Private Limited received funding from Abakkus Asset Manager, ICICI Venture, and Amal Parikh on April 29, taking the total funding to $165 million.

$60 million

Skyroot Aerospace Private Limited received funding from Sherpalo Ventures, GIC Singapore, Blackrock, Arkam Ventures, Playbook Partners (India), Shanghvi Family Office, Anil Chalamalasetty, and Mahesh Kolli on May 7, taking the total funding to $154 million.

$56 million

Maestroedge Solutions Private Limited received Series D funding from SIG, Mirae Asset Venture Investments (India), and Bertelsmann India Investments on April 28, taking the total funding to $111 million.

$33 million

Aaritya Technologies Private Limited received Series B funding from Accel India and Elevation Capital (SAIF Partners) on April 29, taking the total funding to $50 million.

$22 million

Kimbal Private Limited received Series B funding from GEF Capital Partners and Niveshaay on April 30, taking the total funding to $67 million.

Source: PrivateCircle Research, a private market intelligence platform

RE POSTS.

Being a startup founder rocks because building something you genuinely believe should exist is a pretty awesome feeling.
Andrew Gazdecki
@agazdecki

The most useful thing we can tell a founder isn't just "build a great deck" but "start building relationships with investors years before you need to raise"
Most of our portfolio is founders we'd known much before they started.
Arjun Malhotra
@BadCapitalVC

By default my first question to any startup is "What's your growth rate?" That's the patient's pulse. Which is why we push startups to launch. Till then you have no pulse; till then you have no idea if you're doing well or badly.
Paul Graham
@paulg

PLAYING INVESTOR

Cricketers keeping wickets for founders

NEW INNINGS. From donning the India cap to showing up on startup cap tables, sport stars are increasingly turning stakeholders

Aishwarya Kumar

With every boundary hit on the IPL ground, another parallel score ratchets up off the field. Indian cricketers have long been splashed on billboards as brand ambassadors, but today they are increasingly showing up on startup cap tables, backing everything from gaming and smart-home technology to medical tourism and sports-tech platforms.

From Sachin Tendulkar and MS Dhoni to Virat Kohli, KL Rahul and Jasprit Bumrah, the country's biggest cricketing names are steadily building their investor portfolios alongside their sporting career. According to market intelligence platform Tracxn, funding for cricketer-backed startups peaked at $267.1 million in 2021, with cumulative funding since crossing $338.5 million.

Beyond just visibility, the sport stars are sought after for factors such as trust, strategic access and long-term association with brands, according to startup founders and investors.

So you have medical tourism startup The Medical Travel Company (TMTC), which counts English cricketers Ben Stokes and Jofra Archer among its backers, alongside India's KL Rahul. The company, which recently raised $4.5 million in seed funding, works with hospital chains such as Apollo, Max Healthcare, Medanta and Fortis to streamline medical travel between the UK and India.

"Healthcare is a very high-trust business. Trust doesn't come easily, especially when you are building a completely new market," says Ankit Mehrotra, co-founder of TMTC.

The presence of globally recognised athletes helped the company establish credibility not just with consumers but also hospitals, doctors and institutions like the NHS in the UK, Mehrotra says.

"Having reputed international athletes on the cap table changes the conversation. It signals trust," he says. With the cricketers it was a natural fit because many international players spend months in India during the IPL season and are familiar with the country's healthcare ecosystem, he adds.

AT STRIKER'S END. Cricketer KL Rahul and actor Athiya Shetty with Qubo co-founders (left) Nitin Dua and Nikhil Rajpal

Former India cricketer Jatin Paranjape (right) co-founded KheloMore with Ujwal Deole

Cricketers Jason Roy, Jofra Archer and KL Rahul with The Medical Travel Company co-founders Sahil Jain (third from left) and Ankit Mehrotra (extreme right), and Mike Turns (second from left), founder, 4cast Media

Founders also say the tie-ups with cricketers increasingly go beyond marketing contracts.

Gaming startup LightFury Games, backed by Jasprit Bumrah, is building eCricket, a hyper-realistic cricket title powered by Unreal Engine 5 and featuring more than 600 licensed players. "Brand visibility is naturally one outcome of such partnerships with athletes, but the bigger value lies in the credibility and trust these associations help build across stakeholders," says Karan Shroff, co-founder and chief executive of LightFury Games.

While the celebrity investors are not involved in operational decisions, founders say they contribute during strategy discussions and product-related decisions.

For Bumrah, what mattered was the startup's focus on authenticity and attention to detail.

"Cricket is a game of fine margins, and that's what stood out to me about eCricket. The focus on detail and authenticity is impressive," Bumrah says. "I'm happy to back a team that is thinking deeply about the sport and building something meaningful from India."

SWEAT CAPITAL

KL Rahul, who has invested in smart-home technology brand Qubo, says he looks for genuine product alignment before backing a company. "For me, it starts with the product. I need to genuinely believe in what the company is building and ideally be a user myself," Rahul tells *businessline*.

He favours founders who are focused on building sustainable businesses. "I'd rather back founders who are quietly building something solid than those chasing headlines," he says.

This shift in thinking also influences how athletes engage with startups after investing.

"If I'm putting my name and faith behind something, I want to understand how the business is doing, where it's headed and what challenges it is facing," Rahul says. "When people see me associated with a brand, they know it's not just transactional."

Qubo co-founder Nikhil Rajpal says Rahul and his wife, actor Athiya Shetty, maintain direct interaction with the company on strategic matters and actively use the products themselves.

"This isn't a hands-off financial bet for them," Rajpal says "They are actual users of the products, and that makes their inputs sharper and more actionable."

A TASTE OF OPERATIONS

In the case of Jatin Paranjape, the former India cricketer stepped out of the crease to take a shot at building a startup himself.

Paranjape founded sports aggregator platform KheloMore in 2018 to improve access to sports infrastructure, coaching, and grassroots training across India. It helps users discover and book sports venues, academies, and coaches.

"For the next two to three years, I want to remain an operator," Paranjape says, "but eventually, I also want to build a sports-focused investment fund." Conceding that his cricketing background helped open doors during fundraising conversations, he however stresses that operational execution remains the real differentiator.

"Building executive acumen and vision takes time," he points out. "As the ecosystem evolves, we will see many more athlete-founders emerge."

BEYOND CELEB FACTOR

Brand experts, however, caution that celebrity association alone cannot guarantee startup success.

"Cricketer-backed startups will get disproportionate media attention initially, but, ultimately, business performance decides whether funding sustains," says brand strategist Harish Bijoor.

He sees athletes today moving beyond the role of external endorsers to becoming stakeholders with "skin in the game". "Consumers are tired of traditional celebrity endorsements. When athletes participate through sweat equity or ownership, trust becomes a much stronger currency," he says.

At the same time, he warns that the model could eventually become cluttered if celebrities participate only for short-term visibility.

"I am yet to see athletes consistently backing startups with a truly long-term, institution-building mindset," he says.

Founders believe the equation has already evolved beyond quick endorsements and short-term exits. Mehrotra of TMTC says athletes increasingly recognise the long-term wealth creation potential of startups and want to participate in that journey.

"They are not chasing a quick buck," he says. "They understand that real value gets created over the long term, when a company scales up from $10 million to $100 million and beyond."

As India's startup ecosystem matures alongside the rising commercial power of cricket, athletes are padding up to play a new innings — a potent blend of equity, influence and entrepreneurship.

STARTUPS: VAI-THEE-FUSS

Buyers can push back harder than any regulator will

VAITHEESWARAN K

Recently, social media was abuzz with the revelation that select employees at Lenskart were enjoying certain privileges that others were being denied. Lenskart initially denied the allegations, and then came up with feeble acknowledgements and some light acceptance, which made the whole situation worse. Very quickly, the company offices and retail outlets were under relentless social media pressure to reveal the goings-on. The Lenskart incident is symptomatic of a larger issue. Startups celebrate disruption, but in between moving fast and breaking things they should also realise that if you break trust then society will push back harder than any regulator or competitor will.

Startups often underestimate this because they are wired for speed, not sensitivity. Founders obsess over product-market fit, customer acquisition costs, growth momentum and term sheets but ignore the fact that markets are not just economic systems but also social ecosystems layered with identity, belief, and emotions.

To be fair, even established brands have had their share of such controversies. Fabindia, Manyavar, Tanishq, Nalli Silks, and Malabar Gold and Diamonds have faced heat over their festive season advertising. Consumers are no longer passive watchers but vocal stakeholders. A single tweet can snowball into a reputational crisis and brands have nowhere to hide, because screenshots are permanent.

To avoid such missteps, consumer startups must bring in a cultural radar in their decision making, whether in creating an advertising campaign or crafting internal processes and regulations for employees. A simple rule I religiously (pun unintended) followed in my startups was to treat all employees equally and fairly. Provocative media campaigns are fine as long as they sell a compelling proposition, but not to just create controversy and go viral. Finally, if things go wrong, founders must apologise unequivocally and with humility — a trait that strangely seems missing in many founders.

Of course, some brands have also got this right. Amul has mastered the art of being topical yet culturally rooted, balancing the fine line between humour and sensitivity for decades. Tata Tea's 'Jaago Re' campaigns have engaged with social themes while respecting public sentiment. Startups like Mamaearth and Paperboat have leaned into the local context to build trust without courting sensationalism.

Mainstream startups are now shaping consumer behaviour. With that scale comes responsibility. Growth is no longer just about market share but also earning an approval licence from society.

The writer is a serial entrepreneur and best-selling author of the book 'Failing to Succeed'; posts on X @vaitheek

When electricity travels off the grid... hopping on a truck

Sthyr Energy's zinc-air battery system aims to plug multiple gaps — cost, safety and shelf-life

Rohan Das

Imagine converting industrial quantities of electricity into solid metal plates, stacking them onto trucks and delivering them across states to power up factories.

While this may sound like an invention concocted by Dr Doofenshmirtz from the American animated TV series *Phineas and Ferb*, a Chennai-based energy startup is, in fact, working on bringing this intriguing proposition to life.

Sthyr Energy — founded by IIT-Madras alumni Gunjan Kapadia, Muhammed Hamdan and Akhil Kongara — is building a rechargeable zinc-air battery system that can store energy for long-term use.

On the rationale behind the project, Kapadia explains that while renewable energy generation is scaling up rapidly in India, it is seasonal and requires long-term storage solutions to bridge supply gaps.

"At present, you have lithium-ion batteries, which are great if the goal is to store energy for 3-4 hours. But to truly reach net zero and make renewable energy reliable for daily use, we will need to store energy for 3-5 months. For this you would need batteries the size of a city. Even if economically viable, the batteries self-discharge over time, making them infeasible," he says.

The solution, he suggests, is to store electricity outside the battery ecosystem, in a material that is safe, cost-effective and does not self-discharge. Zinc fits the bill perfectly.

READY, STEADY. Sthyr Energy co-founders (from left) Muhammed Hamdan, COO; Akhil Kongara, CTO; and Gunjan Kapadia, CEO; (top) the firm's rechargeable zinc-air battery system

OFF-GRID ANSWER

Sthyr's solution, currently at the development stage (technology readiness level 5), is a three-stage system. The first stage is the charging section, where the generated renewable power will be used to split zinc oxide into electroplated zinc and oxygen.

In stage two, the zinc, which is now the energy store, is transported in its solid form — the power thus travels without need for transmission lines, substations or any other components of a traditional grid.

The third stage would kick in at the destination — typically an industrial cluster or data centre — where a traditional large-scale zinc-air battery is used to discharge the zinc to retrieve the electricity.

Interestingly, the residue from stage 3 would be powdered zinc oxide, which can return to stage 1 for recycling. Kapadia says the unit economics suits only large-scale deployments of at least 0.5 megawatts and not residential or small commercial use.

The company expects to have three pilots by the year end and an operational deployment soon after. "We have signed MoUs and are in discussions with multiple government and private customers who are looking to replace old-school generators with our technology," Kapadia says.

In June last year, the company closed a seed funding round of $1 million.

Fewer bets and loads of conviction

bl. interview

Sanjana B

Playbook Partners, a growth-stage venture capital firm, invests at the intersection of venture capital and late-stage private equity. The firm backs Series C and beyond companies.

Vikas Choudhury, founding partner, Playbook Partners, discusses the firm's investment strategy, its operator-led approach to scaling up businesses, and why sectors such as AI, fintech, consumer-tech, and deep-tech are central to its 'digital India' thesis.

How much funding have you raised so far?

We have raised two-thirds of the $250-million fund.

What is the strength of your current portfolio?

Our portfolio today reflects category leaders in high-growth sectors. Businesses that are at a meaningful scale in their industry and have demonstrated profitable growth. This includes companies like Capillary in AI-led customer engagement, Renee in beauty and personal care, EverBrands (Subway) in food services, and KaarTech in AI-driven enterprise digital transformation. Our investments represent diverse sectors that are driving economic growth in India. While we have invested in tech and consumer, we are also interested in manufacturing, deep-tech, and financial services.

> We're deliberate about backing a limited set of 12 to 15 companies over a fund cycle
>
> **VIKAS CHOUDHURY**
> Founding partner, Playbook Partners

What is your investment thesis?

We operate in the gap between venture capital and late-growth PE to pre-IPO equity. We typically back companies at $50-100 million revenue, with demonstrable profitability and a three- to four-year IPO horizon.

A lot of value can be created in this growth capital window in India, but it's also the stage where companies need the most strategic clarity and operator guidance. So, the thesis is not just about providing capital but also operator-led experience as they scale up for the journey to public markets. We're also deliberate about staying concentrated, backing a limited set of 12 to 15 companies over a fund cycle.

Which sectors are you bullish on?

We invest in sectors where technology and digital transformation play a key role and drive economic growth in India. These include consumer-tech, fintech, AI, and deep-tech.

Do you favour early-stage funding or growth and late-stage?

We're focused on the growth stage, typically Series C onwards. By this point, the business has found a profitable product-market fit and achieved meaningful scale. The question then is: "How does this evolve into a high-growth, sustainable, public-market company?"

What is the time horizon for your investment?

We take a five-year view to value creation. The intention isn't to treat IPO as an exit event, but as a transition point. We're comfortable staying invested through that phase and even beyond, because value creation can accelerate post listing, as companies mature within public markets.

What is your average cheque size?

Our cheque sizes are typically in the $10-20 million range.

DATA BANK.

Microfinance portfolio outstanding rebounds on bigger loans

After nearly eight quarters, the microfinance portfolio outstanding rebounded to ₹3,31,000 crore in March 2026 (quarter ending) from ₹3,20,900 crore, up 3.2 per cent quarter-on-quarter (QoQ), with the growth supported by factors such as higher originations and bigger loans, according to CRIF High Mark.

However, the portfolio outstanding (POS — also known as gross loan portfolio, or GLP) as at March-end 2026 is down 13.2 per cent year-on-year (YoY) from ₹3,81,200 at March-end 2025, according to the Credit Information Company's (CIC) latest MicroLend report.

Originations volume increased by 22.8 per cent QoQ to 126.1 lakh loans from 102.7 lakh in the preceding quarter. Originations value was up 25.8 per cent QoQ to ₹77,555 from ₹61,627.

The CIC's analysis shows that 57 per cent of the originations in the fourth quarter (Q4FY26) were extended to existing borrowers as part of their next loan cycle with the same lender. This is almost unchanged on YoY basis.

The average ticket size as at March-end 2026 rose to ₹61,500 from ₹60,000 as at December-end 2025 and ₹52,000 as at March-end 2025.

The CIC noted that there was a moderation in portfolio at risk (PAR) 180+ days (including write-offs) from 17.3 per cent to 16.3 per cent (QoQ basis) and continued improvement in PAR 1-180 days to 2.6 per cent in March 2026 from 4.4 per cent as of December 2025.

The drop in MFI POS in March 2026 on YoY basis is accentuated by an approximately 8.3 per cent shift (as a share of March 2025 POS) from MFI to retail portfolios, mostly driven by banks.

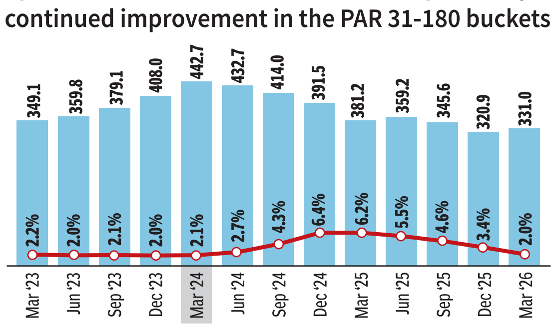
Borrower and active loan counts remain in decline, though the pace eased. Active borrower count fell 3.2 per cent QoQ (vs 5-6 per cent in the prior quarters) to 6.9 crore (from 7.1 crore as at December-end 2026 and 8.3 crore as at March-end 2025).

Active loans, too, declined 4.5 per cent QoQ to 10.7 crore as of March 2026 (from 11.2 crore as at December-end 2026 and 14 crore as at March-end 2025).

By lender type, non-banking financial companies-MFIs remained the predominant growth driver, lifting their share of portfolio outstanding from 38.9 per cent to 43.7 per cent YoY as of March 2026. On a YoY basis, banks' POS share declined from 32.6 per cent to 26.4 per cent as of March 2026, while NBFCs maintained a share of 12–13 per cent and small finance banks (SFBs) around 16 per cent between March 2025 and March 2026.

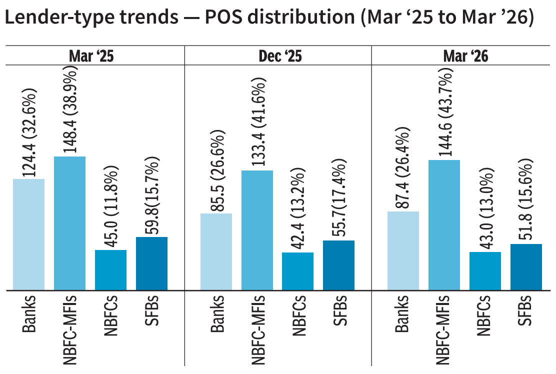
Early-stage (PAR 1-30, PAR 31-90) delinquency buckets dropped below 1 per cent, while PAR 91-180 declined sharply from 3.4 per cent in March 2025 to 1.2 per cent in March 2026 — the best level in five quarters.

The three-year trajectory: POS has returned to an upward trend since March 2024, accompanied by a continued improvement in the PAR 31-180 buckets



NBFC-MFIs remained the predominant drivers of the increase in portfolio outstanding

Lender-type trends — POS distribution (Mar '25 to Mar '26)

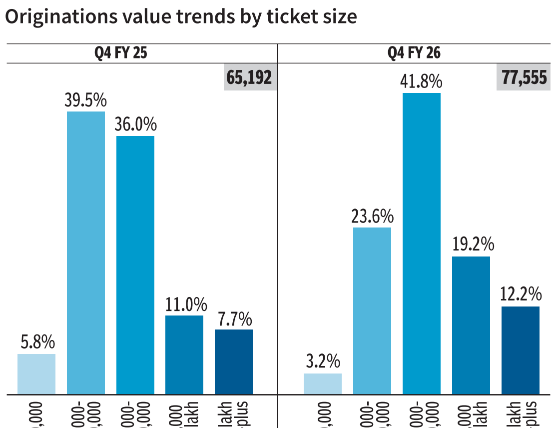


The first figure indicates the book size in ₹1,000 cr, second figure (%) indicates the market share by lender type

Lender type (Mar '26)	Banks	NBFC-MFIs	NBFCs	SFBs	Total
Q-o-Q GLP growth	2.2%	8.3%	1.3%	-7.2%	3.2%
Y-o-Y GLP growth	-29.8%	-2.6%	-4.6%	-13.5%	-13.2%

Originations value growth was driven by ticket sizes greater than ₹50,000

Originations value trends by ticket size



Ticket size (Q4 FY26)	<=30,000	30K – 50K	50K – 80K	80K – 1L	1L+	Total
Q-o-Q growth (Disbursement value)	8.1%	21.0%	25.1%	33.4%	32.6%	25.8%
Q-o-Q growth (Disbursement volume)	7.3%	20.1%	24.6%	33.3%	33.6%	22.8%

Source: MicroLend

STRENGTH IN NUMBERS

'Our branch network is a big asset'

OLDER, WISER. Central Bank of India chief outlines the lender's aim to grow bigger and digitally agile at 114 years of age

K Ram Kumar

Central Bank of India (CBoI) will leverage its pan-India presence to grow its business (deposits plus advances) by at least 15 per cent year-on-year (yoy) and, in the process, cross the ₹10-lakh-crore mark by March 2028.

In an interaction with *businessline*, Kalyan Kumar, MD and CEO of India's eighth largest public sector bank, emphasised that the network of 4,585 branches is actually a strength, enabling the bank to play a bigger role in India's economic growth.

He said CBoI is working to step up the share of non-interest income in total income to at least 25 per cent by March 2027 from 15 per cent in March 2026.

Kumar observed that the bank's goal is to become not merely larger, but also digitally focused and customer-friendly.

Excerpts:

What are the highlights of your fourth quarter results?

We delivered robust growth across core parameters, despite taking a one-time deferred tax adjustment hit of ₹632 crore. The deferred tax asset was recognised at a lower rate of 25 per cent (against about 35 per cent), which impacted the current quarter's numbers (net profit at ₹724 crore vs ₹1,034 crore in the year-ago quarter). But we expect annual tax benefit of ₹600-800 crore going forward, after migrating to the new tax regime.

We reported 15.6 per cent growth in total business, with gross advances rising 18.76 per cent and total deposits growing 13.38 per cent. For the first time, Central Bank of India crossed the ₹8-lakh-crore business milestone. We have set a target for crossing ₹10 lakh crore business by March 2028.

How do you want to position CBoI in the banking space?

Our goal is not merely to become larger, but also evolve into a digitally agile and customer-centric bank.

We are a bank with a 114-year legacy. We have nationwide reach through 4,585 branches across 28 states and seven out of eight Union territories. Our strong rural and semi-urban (RUSU) footprint, accounting for about 65 per cent of total branches, gives us an opportunity to participate in the economic development of almost all states

ON TARGET. Kalyan Kumar, MD and CEO, Central Bank of India

Rather than focusing on league-table rankings among banks, our strategy is centred on strengthening fundamentals, improving efficiency, enhancing customer experience and delivering sustainable profitability and dividends.

How will you achieve the credit growth target of 14-16 per cent in FY27, given that the economy could face repercussions from the West Asia war and deposit growth is constrained for banks?

'Retail, agriculture and MSME' (RAM) lending is our principal growth engine, constituting about 68 per cent of our loan book. We intend maintaining the RAM-corporate mix broadly at the current level of 68:32.

Within retail, our focus will be on housing and vehicle loans. Within agriculture, gold loans and self-help group financing will be thrust areas. Within the MSME space, cluster-based financing, warehousing and cold storage, among others, will be priority areas.

We have identified 300 agriculture-intensive branches and 225 MSME-focused branches under the cluster-based financing strategy.

Corporate lending will continue selectively, with exposure to sectors such as data centres, renewable energy, HAM (hybrid annuity model) road projects, lease rental discounting (LRD), and EV financing, among others.

Do you have sufficient liquidity to support credit growth?

We have ample liquidity, as signified by the liquidity coverage ratio (LCR) of 210.35 per cent against the minimum requirement of 100 per cent. With almost two-third of our branch network in RUSU areas, we can comfortably tap liabilities. We plan to open around 100 branches in the current financial year, with a focus on emerging business centres and growth markets. Physical presence still matters a lot in liability mobilisation, despite rapid digitalisation.

Non-interest income seems to be a challenge for your bank. How are you addressing this?

This is a weak area and we are focusing on improving on this front. Currently, non-interest income contributes around 15 per cent of total income. We want to increase this to at least 25 per cent by March 2027. To achieve this, we are focusing on areas such as bancassurance distribution, forex and trade finance services, letter of credit/bank guarantee business, cash management services, supply chain financing, and treasury operations.

We expect insurance distribution income to improve significantly as we have put operational structures in place for our life and non-life insurance ventures.

How much additional credit offtake are you expecting for your bank due to the Emergency Credit Line Guarantee Scheme (ECLGS)?

We anticipate an additional credit offtake of about ₹10,000 crore due to ECLGS 5.0. This growth will primarily be in the MSME sector, where we see about ₹7,000 crore offtake. In the non-MSME sector, we may see about ₹3,000 crore credit offtake.

How much provisioning do you need to make related to expected credit loss (ECL), and do you need to raise funds to meet this requirement?

While the final provision numbers related to ECL are being worked out post the declaration of our financial results, based on the earlier estimates we had made a proactive provision of ₹1,525 crore for stage 1&2 assets and made the provisions required for stage 3 assets.

As the bank is sufficiently capitalised with its CRAR (capital-to-risk weighted assets ratio) at 17.91 per cent as on March 31, 2026, and the regulator has permitted to route the ECL impact through reserves instead of profit-and-loss account, a maximum impact of 150 basis points is expected on the CRAR.

However, the expected profit of FY27, of about ₹6,000 crore, and the profit for FY28 would ensure that our CRAR remains in the range of 16–17 per cent (substantially above the required regulatory capital of 11.5 per cent) and we have ample growth capital available. As such, we may not be required to go to the market to raise capital in the near future.

Indian money market's changed behaviour

What explains the spike in CD issuance, wide spreads, and sharply reduced supply of corporate commercial papers?

RAJEEV RADHAKRISHNAN
MANSI SAJEJA
NAMRATA MITTAL

The Indian money market remains the primary channel through which banks, financial institutions, and large corporates access short-term funding. The certificates of deposit (CDs) issued by banks, and the commercial papers (CPs) issued by financial and corporate entities form its core supply, with mutual funds serving as the dominant investor base.

In recent months, the market has entered a phase marked by elevated CD issuance, persistently wide spreads, sharply reduced corporate CP supply, and long-standing low liquidity in the secondary market. Unlike the stress seen during the post IL&FS period (2018–19), the current environment is not precipitated by credit concerns.

Rather, it reflects the interaction between the structural shifts in investor behaviour, regulatory liquidity requirements for banks, mutual fund seasonality, and portfolio construction constraints within the MF industry.

CD ISSUANCE

Since mid-2023, system liquidity has gradually moderated after the post-Covid surplus. Meanwhile, credit demand has revived meaningfully.

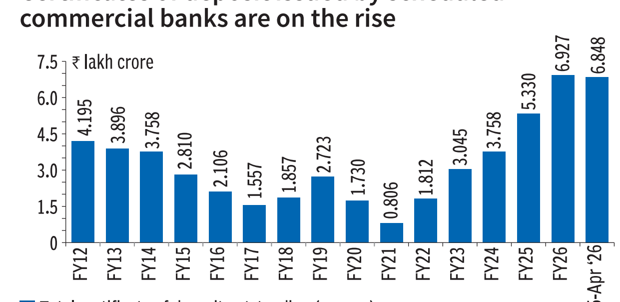
Bank credit — which had slowed to 9 per cent in May 2025 — rebounded to about 15 per cent by mid-April this year, prompting many banks to upgrade their FY27 credit growth guidance.

With credit growing faster than deposits, banks increasingly turned to CDs as a wholesale funding tool. Outstanding CDs nearly doubled from around ₹3 lakh crore at the start of 2023 to nearly ₹6 lakh crore by January and ₹7 lakh crore by April. This was amplified by quarter-end balance sheet considerations and rising loan demand.

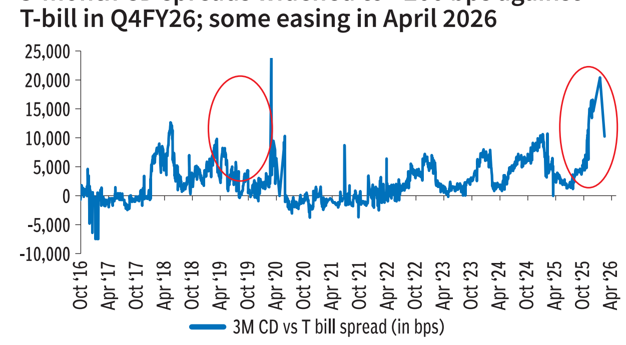
CD spreads relative to 3-month T-bills widened sharply. After softening during the first half of 2025, following policy rate cuts, the spreads rose from 30–40 bps in mid-2025 to 75–80 bps by the year-end, and touched 220 bps by February-March.

These spreads have eased to 100-120 bps in April, as part of seasonal adjustments, but still remain significantly elevated on a year-on-year basis. There are structural supply-demand mismatches.

Certificates of deposit issued by scheduled commercial banks are on the rise



3-month CD spreads widened to +200 bps against T-bill in Q4FY26; some easing in April 2026



Source: RBI, Bloomberg, SBIFM Research

CD SUPPLY

Even as banks actively issue CDs, corporate CP issuance has moderated. Many corporates find bank working capital lines — linked to external benchmark lending rates such as T-bill-based formulas — cheaper than issuing CPs. This has made bank borrowing more cost-effective than market borrowing.

WEAK APPETITE

Mutual funds remain the primary investors in CDs and CPs, but their deployable AUM for these instruments has not kept pace with the rising supply. SEBI's duration- and credit-based categories limit fund flexibility during volatile periods.

For example, liquid funds cannot buy papers beyond 91 days. Overnight funds can invest only in one-day instruments like the tri-party repo dealing system (TREPS). Equity/hybrid funds maintain cash for margins but cannot use it for longer-tenor CDs/CPs. Consequently, headline liquidity — like the large overnight TREPS market — overstates actual MF capacity to invest in money market instruments.

AUM REALLOCATION

The taxation changes for debt mutual funds in Budget 2023 have significantly reduced the post-tax attractiveness of debt funds for retail investors. Flows have since shifted.

Retail investors prefer equity/hybrid categories. Debt fund flows have become predominantly institutional. AUM growth has concentrated in overnight funds, used mainly for corporate treasury management.

Medium- and long-duration debt fund categories have stagnated or seen outflows. This makes AUM inherently more volatile and reduces demand for CDs and CPs.

BANK BULK DEPOSITS

As banks chase both CASA (current account and savings account) and term deposits, they have also been mobilising bulk deposits, which compete directly with MF liquid schemes. Bulk deposits offer stable returns without mark-to-market volatility — appealing to many corporates. This has diverted flows away from the MF schemes that typically invest in CDs.

ILLIQUIDITY

Despite large outstanding volumes, secondary trading in CDs and CPs remains limited and concentrated in short residual maturities and top-rated issuers. Long-term investors like insurers and provident funds largely stay away from this segment.

With banks participating mainly for the management of liquidity coverage ratio (LCR), mutual funds often become the only active secondary traders. The redemption patterns across fund houses are also synchronised, resulting in simultaneous selling pressure and thin bid-side depth. This pushes funds toward diversified, conservative portfolios and a hold-to-maturity bias. The CP market is the most illiquid, further demanding additional spread for liquidity risk.

SEASONAL PATTERNS

Seasonality also influences short-term rates. Each March (and other quarter ends), corporates withdraw 20–25 per cent of liquid fund AUM for tax and balance sheet requirements. These funds typically return in April, pushing down short-term yields. Ahead of March, MFs avoid buying 3-month papers to reduce reinvestment risk, causing tenor mismatches and temporary spread spikes — even when the system liquidity is otherwise stable.

CD SPREADS

Some moderation in CD spreads is likely post the March redemption cycle. However, sustained credit growth ensures continued funding needs for banks.

With short-tenor CD rates rising sharply, banks may increasingly shift toward longer-tenor infrastructure and Tier II bonds — supported by renewed infra eligible assets — especially since long-term investors like provident funds prefer such instruments. This could gradually ease the pressure on CD spreads.

Elevated CD spreads reflect the equilibrium of strong bank funding needs, muted institutional demand, and persistent secondary market illiquidity. Absent broader participation or new liquidity mechanisms, and supply-demand mismatches will continue to shape short-term rate behaviour in India's money market.

Rajeev Radhakrishnan is CIO–Fixed Income, Mansi Sajeja is Fund Manager, and Namrata Mittal is Chief Economist, SBI Mutual Fund

CHENNAI
businessline.
MONDAY - MAY 11 - 2026

QUICKLY.

India signs 8 MoUs with Trinidad and Tobago

Port of Spain: India and Trinidad and Tobago have signed eight agreements in sectors including tourism, healthcare, infrastructure and Ayurveda during External Affairs Minister S Jaishankar's two-day visit to the Caribbean nation, according to an official statement on Sunday. Jaishankar held talks with Prime Minister Kamla Persad-Bissessar and other senior leaders on expanding bilateral co-operation and reviewed progress on announcements made during Prime Minister Narendra Modi's visit to the country last year, Ministry of External Affairs (MEA) said.
In the presence of Persad-Bissessar, Jaishankar inaugurated an agro-processing facility for which machinery worth $1 million was provided by India last year. PTI

CBDT targets low-value a/cs, adds e-portal alerts for foreign assets under Nudge 2.0

BOOSTING COMPLIANCE. The move aims to curb offshore tax evasion and improve reporting accuracy

Dalip Singh
New Delhi

Building on the positive outcomes of the Nudge 2.0 campaign — focused on the non-intrusive use of data to guide and enable taxpayers — the Central Board of Direct Taxes (CBDT) plans to broaden the tax base by including lower-value accounts and introducing measures such as pre-filled alerts on the e-portal.

Meanwhile, Bengaluru tops the chart of overall taxpayers from 18 big cities that revised or filed belated income tax returns (ITRs) declaring foreign assets (FAs) and foreign source of income (FSIs) for financial year (FY) 2025-26.

FOREIGN INCOME

An internal report of CBDT, accessed by *businessline*, showed that because of the campaign, cumulative foreign assets declaration was around ₹1 lakh crore along with total foreign income of over ₹6,500 crore through over 1.57 lakh revised and belated income tax returns.

Disclosure of income *(Amount in ₹ cr)*

City	Number of revised returns filed	Disclosure of foreign assets	Disclosure of foreign income
Bengaluru	22,860	17,677.15	841.52
Mumbai	10,159	16,771.18	642.27
Delhi	14,027	13,540.70	1,240.04
Chennai	17,498	10,515.45	717.00
Hyderabad	17,255	8,985.05	500.24

Other cities include Ahmedabad, Bhopal, Bhubaneswar, Chandigarh, Jaipur, Kanpur, Kochi, Kolkata, Lucknow, Nagpur, Patna and Pune.
Cumulative foreign assets declaration of ₹99,882.47 crore, along with total foreign income of ₹6.540.44 crore through 1.57.112 revised and belated ITRs

The Income Tax Department got over ₹800 crore through tax. Under the Nudge 2.0, SMSs and mails sent in November-December last year identified high-risk cases where foreign assets appear to exist but not reported in the ITRs filed for AY 2025-26. They were advised to review and, where necessary, revise their ITRs by December 31, 2025, and avoid potential penal consequences.

Now, based on the outcomes of the first two campaigns, the CBDT is preparing the future course of action. Sources said the board intends to expand the target base to include lower-value common reporting standard (CRS)/Foreign Account Tax Compliance Act (FATCA) reported accounts, recognising that non-reporting in such cases reflects behavioural non-compliance rather than merely tax quantum risks.

The CRS, developed by the Organisation for Economic Co-operation and Development (OECD), enables countries to automatically exchange financial account information to curb offshore tax evasion. On the other hand, India has an agreement with the United States under FATCA information-sharing arrangements.

STRATEGIC PUSH

The CBDT also proposes strategic directions for a continuous nudging model allowing institutionalised periodic data-backed campaigns instead of a single window initiative, and standardisation of reporting schedules to reduce ambiguity and improve accuracy of information. It desires to introduce predictive risk analysis, pre-filling alerts on e-portal, automatic filling of connected fields across various schedules in the ITR, expanded global coordination and enhanced employer and professional engagement, as per the report.

Sources also said most of the declarations are largely from professionals while big businessmen, politicians and others continue to hoard black money. Among the directly nudged population, Bengaluru, Hyderabad, Chennai, Delhi and Mumbai collectively accounted for the largest volumes of revised returns and asset disclosures, reflecting the concentration of internationally mobile professionals and high-net-worth taxpayers in these jurisdictions.

It may be noted that over the last two years, cumulatively more than 1.11 crore revised and updated returns have been filed resulting in collection of ₹8,800 crore as taxes through Saksham Nudge campaigns. Also, the success of the programme paved the way for the foreign assets of smaller taxpayers disclosure scheme announced in the 2026 Budget.

Airfares at Noida airport similar to Delhi's despite lower ATF tax structure

Our Bureau
New Delhi

Ticket prices for flights from the Noida International Airport are almost identical to those from Indira Gandhi International Airport despite Uttar Pradesh offering a significantly lower aviation turbine fuel (ATF) tax structure.

A *businessline* check of live fares on the online travel agency Ixigo showed no meaningful price differential between flights operating from two airports on announced domestic routes.

These air fares have raised concerns within the industry over the airport's ability to attract flyers through pricing advantage alone.

As per Ixigo, fares on the NIA-Lucknow and Delhi-Lucknow routes were identical at ₹3,394, while NIA-Hyderabad and Delhi-Hyderabad were both priced at ₹6,129. Similarly, fares to Amritsar from both airports were the same.

At present, Uttar Pradesh levies only 1 per cent value added tax (VAT) on ATF compared to nearly 25 per cent in Delhi.

COST ADVANTAGE

This policy measure was aimed at giving Noida International Airport a cost advantage over Delhi airport and attracting both airlines and passengers.

However, industry executives told *businessline* that higher aeronautical charges and user development fees (UDF) at the upcoming airport are offsetting the benefit arising from lower fuel taxation.

Presently, an *ad hoc* tariff order issued by the Airports Economic Regulatory Authority (AERA) has fixed the UDF for departing domestic passengers at Noida International Airport at ₹490 compared to ₹129 at Delhi airport.

> **The air fares have raised concerns within** the industry over the airport's ability to attract flyers through pricing advantage alone

On the other hand, arriving domestic passengers at NIA will pay ₹210 as UDF.

FINAL TARIFF

Meanwhile, AERA's final tariff determination order for the airport is expected soon.

Notably, IndiGo has commenced bookings for flights from the airport and is scheduled to begin operations from June 15, connecting the airport to over 16 domestic destinations, including Hyderabad, Jaipur, Chandigarh, Srinagar, Amritsar, Jammu and Pantnagar.

According to industry insiders, IndiGo has already raised concerns over the tariff structure with AERA.

In its submissions to the regulator, IndiGo said landing charges for narrow-body aircraft at the airport are significantly higher compared to Delhi airport for domestic operations.

Speaking to *businessline*, industry insiders said the elevated airport charges are increasing overall operating costs for airlines.

BIG ROADBLOCK

These current charges, sources said, may affect the airport's ability to attract passengers during the initial phase of operations.

In contrast, Delhi airport's stronger connectivity, metro access, and established network presence will make it tougher for NIA to ramp-up operations.

Noel Tata voted against Venu Srinivasan, Vijay Singh at Tata Education Trust

Our Bureau
Mumbai

Tata Trusts Chairman Noel Tata, is understood to have also voted against the reappointment of Venu Srinivasan and Vijay Singh to the board of Tata Education and Development Trust (TEDT) last week, sources said.

The terms of both Srinivasan and Singh as trustees of TEDT were due for renewal on Sunday. According to the voting pattern, former trustee Mehli Mistry, JN Mistry and Tata voted against their reappointments,while Singh and Srinivasan voted in favour of each other. Though Tata Education is a non-shareholding trust allied to Sir Ratan Tata Trust, the development is significant because both Srinivasan and Singh have publicly backed the listing of Tata Sons in which Tata Trusts have a stake of around 66 per cent.

There was no response to an email sent to Tata Trusts seeking comment.

Noel Tata

Venu Srinivasan

Vijay Singh

VOTE OF DISPLEASURE

Sources said that Noel Tata's vote against Srinivasan and Singh reflected his displeasure over their support for listing Tata Sons, a position that is at odds with his own preference to keep the holding company unlisted. It also highlights the widening rift among the trustees, with no unanimity and several dissenting voices emerging on crucial issues.

Their *volte face* with respect to the listing issue comes after unanimous resolutions taken both by the boards of Tata Sons and Tata Trust to keep it unlisted.

One of the items that came up for discussion at last Friday's aborted meeting was the possible removal of Srinivasan as a Tata Trusts nominee on the Tata Sons board, with Bhaskar Bhat likely to replace him.

That meeting is now shifted to next Saturday. Tata is understood to be strengthening his own position within the Tata group and the appointments of his son Neville Tata and Bhat last year, on the board of Sir Dorabji Tata Trust was a move in this direction.

However his attempt to induct Neville to the SRTT board was blocked by Srinivasan.

Mehli Mistry's objections to Singh and Srinivasan's reappointment to TEDT are linked to the governance lapses he alleged in filings made earlier this year before the Maharashtra Charity Commissioner.

Mistry alleged that Singh received commissions from Tata Sons in violation of the Trust Act, while Srinivasan misused his position as a nominee director on the Tata Sons board to secure design work free of cost from Gerry McGovern, then COO of Jaguar Land Rover, for Norton Motorcycles, a subsidiary of TVS Motor Company.